

MIRAJ CRYPTO TRADING STRATEGY - COMPLETE PLAYBOOK

Comprehensive Trading System Documentation

TABLE OF CONTENTS

1. Philosophy & Core Principles
 2. Market Cycle Framework (DDE - Data Determines Everything)
 3. Technical Indicators & Settings
 4. Timeframe Hierarchy
 5. Market Structure Analysis
 6. Entry Strategies
 7. Exit Strategies & Take Profit
 8. Stop Loss Placement (ATR Method)
 9. Position Sizing & Leverage
 10. Risk Management Rules
 11. Portfolio Management (3-Portfolio System)
 12. Futures Trading Framework
 13. Secret Scalping Strategy (1-Minute)
 14. Level-to-Level Trading (HTF Strategy)
 15. Chart Patterns
 16. Altcoin Selection Framework
 17. Market Analysis Types
 18. Trading Tools & Resources
 19. Psychology & Discipline
 20. Quick Reference Guide
-

1. PHILOSOPHY & CORE PRINCIPLES

The "Teach to Fish" Approach

- **Goal:** Create independent traders, not signal-dependent followers
- **One-time learning investment** vs. perpetual signal subscription
- **Skill-based trading** that lasts a lifetime

Core Trading Mantras

1. **DDE - Data Determines Everything:** All decisions based on historical patterns and data

2. **"Trend is your friend until it ends"**: Follow trends, but recognize when they break
3. **"Altcoins are oscillators to Bitcoin at best"**: Measure all alts against BTC, not USD
4. **"Be greedy when others are fearful"**: Contrarian approach to sentiment

Winner vs Loser Mentality

Loser Mentality:

- Blames others for losses
- FOMOs into trades
- Never self-evaluates
- "I'll never make it"

Winner Mentality:

- Self-evaluates after every loss
- Learns from mistakes
- Takes responsibility
- Adapts and improves

The Three Commitments

1. **Watch all modules in full** - No skipping
 2. **Take notes** - Write down key concepts
 3. **Practice before trading** - Paper trade first
-

2. MARKET CYCLE FRAMEWORK (DDE)

Bitcoin 4-Year Halving Cycle

Historical Pattern:

- **Every ~4 years**: Bitcoin halving event
- **Cycle Structure**: Accumulation → Halving → Bull Market → Bear Market

Cycle Phases Breakdown

ACCUMULATION PHASE (12-18 months before halving)

- Duration: ~1-1.5 years
- BTC trades sideways at depressed prices
- Low media attention
- **Action**: Accumulate positions here

Historical Accumulation Prices:

- 2012 cycle: ~\$11
- 2016 cycle: ~\$200
- 2020 cycle: ~\$3,000
- 2024 cycle: ~\$15,000-\$30,000

HALVING EVENT

- BTC mining rewards cut by 50%
- Supply shock begins
- Historical dates:
 - November 28, 2012
 - July 9, 2016
 - May 11, 2020
 - **April 2024** (next)

BULL MARKET (1-1.5 years after halving)

- Duration: 12-18 months post-halving
- Parabolic price action
- Peak media attention
- **Action:** Take profits in stages

Bull Market Timelines:

- 2012 halving → Peak November 2013 (1 year)
- 2016 halving → Peak December 2017 (1.5 years)
- 2020 halving → Peak November 2021 (1.5 years)
- 2024 halving → Expected peak Q4 2025

BEAR MARKET (1-2 years)

- Duration: 12-24 months
- 80-90% drawdowns from peak
- Capitulation phase
- **Action:** Hold cash, DCA at key levels

Expected Returns by Cycle

Historical BTC Returns (From Accumulation to Peak):

Cycle	Accumulation Price	Peak Price	Multiple	Year
2012-2013	\$11	\$1,155	105x	2013

2016-2017	\$650	\$20,000	31x	2017
2020-2021	\$3,000	\$69,000	23x	2021
2024-2025	\$30,000	\$90k-\$150k	3-5x	2025

Diminishing Returns Pattern:

- Each cycle returns decrease
- But still outperform traditional markets
- 3-5x expected next cycle (conservative)

Bitcoin Dominance Cycle

BTC.D Pattern:

- **Accumulation phase:** BTC dominance RISES (70-75%)
- **Early bull market:** BTC dominance stays high
- **Late bull market:** BTC dominance FALLS (40-50%)
- **Bear market:** BTC dominance RISES again

Trading Implication:

- High BTC.D → Money in Bitcoin
- Falling BTC.D → Altseason (money rotating to alts)
- **Strategy:** Buy alts when BTC.D starts falling from 70%+

3. TECHNICAL INDICATORS & SETTINGS

Primary Indicators (Must Use)

1. RSI (Relative Strength Index)

Settings:

- Period: 14
- Overbought: 70
- Oversold: 30

Key Levels:

- **15-20:** Extreme oversold (best long entries)
- **20-30:** Oversold zone (start scaling in)
- **30-70:** Neutral zone
- **70-80:** Overbought zone (start scaling out)
- **80-95:** Extreme overbought (best short entries)

Usage:

- **HTF (Higher Time Frames)** most reliable: Daily, 12h, Weekly
- LTF signals less reliable but useful for scalping
- Look for divergences

2. QQE Mod (Volume Indicator)

Settings:

- Default settings (don't change)
- Shows buying/selling pressure

Interpretation:

- **Green bars:** Buying pressure (bullish)
- **Red bars:** Selling pressure (bearish)
- **Transition from red → green:** Buy signal
- **Transition from green → red:** Sell signal

Combine with RSI:

- RSI oversold + Green QQE bars = Strong long signal
- RSI overbought + Red QQE bars = Strong short signal

3. Stochastic RSI

Settings:

- Period: 14
- Used for crosses

Usage:

- **Golden cross** in bottom zone = Buy signal
- **Death cross** in top zone = Sell signal
- Confirms RSI signals

4. Bollinger Bands

Settings:

- Period: 20
- Standard Deviation: 2

Trading Rules:

- **Price at bottom band** + RSI oversold = LONG
- **Price at top band** + RSI overbought = SHORT
- **Bands must be WIDE** (expanded) for reliable signals
- **Bands SQUEEZED** (narrow) = Avoid trading, big move coming

Squeeze Strategy:

- When bands compress → Volatility explosion imminent
- Check direction bands are pointing:
 - Pointing up → Likely breakout UP
 - Pointing down → Likely breakdown DOWN
- Wait for expansion before entering

5. ATR (Average True Range)

Settings:

- Period: 14
- Used for stop loss placement

Purpose:

- Measures average candle size (volatility)
- Ensures stops account for normal price fluctuation
- Different for each asset and timeframe

Stop Loss Formula:

- **Long:** Stop = Support Level - ATR value
- **Short:** Stop = Resistance Level + ATR value

Examples:

- BTC 15m ATR: \$200
- BTC Daily ATR: \$3,000
- ETH 15m ATR: \$17

6. Bull Market Support Band (BMSB)

Settings:

- 20-week Simple Moving Average (SMA)
- 21-week Exponential Moving Average (EMA)
- **Only on WEEKLY timeframe**
- **Only for Bitcoin**

Usage:

- Price above BMSB = Bull market intact
- Price below BMSB = Bear market/correction
- Multiple tests of BMSB as support = Healthy bull
- Break below = Major correction coming

Historical Validation:

- Tested multiple times in 2020-2021 bull run
- Held support each time → Continuation
- Broke in 2022 → Bear market confirmed

7. EMA Ribbon

Settings:

- Multiple EMAs: 20, 25, 30, 35, 40, 45, 50, 55 day
- Creates "ribbon" cloud

Usage:

- Works on **any timeframe, any coin**
- Price above ribbon = Bullish
- Price below ribbon = Bearish
- **Multi-timeframe confirmation:** Want above on 1h, 4h, 12h, daily

Entry Signal:

- Price reclaims above ribbon after being below
- Hold as support = Impulsive move expected

Optional Indicators

Auto Support JC (Free Indicator)

- Automatically draws support/resistance levels
- Use on 12h, 4h, 1h timeframes
- Mark in blue (support) and red (resistance)

Fibonacci Retracement

Key Levels:

- 0 (bottom of range) = Support
- 0.25 = First support
- 0.5 = Mid-range
- 0.75 = First resistance
- 1.0 (top of range) = Resistance

Usage:

- Draw from swing low to swing high
 - Mark 0.25, 0.5, 0.75 as horizontal levels
 - These become your level-to-level trading zones
-

4. TIMEFRAME HIERARCHY

HTF - Higher Time Frames (Macro View)

- **Weekly (1W):** Cycle analysis, BMSB
- **Daily (1D):** Primary trend analysis
- **12-hour (12h):** Range analysis
- **Purpose:** Identify overall trend and major levels

LTF - Lower Time Frames (Micro View)

- **4-hour (4h):** Swing trading
- **1-hour (1h):** Intraday trading
- **30-minute (30m):** Scalping
- **15-minute (15m):** Scalping
- **1-minute (1m):** Ultra-scalping (secret strategy)

The Hierarchy Rule

Always analyze top-down:

1. **Start with HTF** (Weekly/Daily/12h)
2. Identify macro trend and key levels
3. **Move to LTF** for precise entries
4. Execute on LTF within HTF context

Example:

- Daily shows uptrend + support at \$28,600

- Move to 4h to find entry within that support zone
- Execute on 1h when RSI oversold + support confluence

Timeframe-Specific Strategies

Timeframe	Strategy	Holding Period	Risk Level
1m	Scalping	Minutes	High
15m-1h	Day trading	Hours	Medium-High
4h-12h	Swing trading	Days-Weeks	Medium
Daily-Weekly	Position trading	Months-Years	Low

5. MARKET STRUCTURE ANALYSIS

Bullish Market Structure

Pattern: Higher Highs (HH) + Higher Lows (HL)

Characteristics:

- Each peak higher than previous peak
- Each dip higher than previous dip
- "Staircase pattern" upward
- Intact trend lines pointing up

Example:

```

HH
 / \  HH
/   \ /
HL   HL

```

Trading Implication:

- Look for LONG entries at higher lows
- Expect continuation until structure breaks

Bearish Market Structure

Pattern: Lower Highs (LH) + Lower Lows (LL)

Characteristics:

- Each peak lower than previous peak
- Each dip lower than previous dip
- "Staircase pattern" downward
- Intact trend lines pointing down

Example:

```
LH
 \  LH
  \ / \
   LL  LL
```

Trading Implication:

- Look for SHORT entries at lower highs
- Expect continuation until structure breaks

Structure Break (Reversal Signal)

Bullish Structure Break:

- Price making HH/HL suddenly makes LL
- Trend line breaks to downside
- **Action:** Exit longs, consider shorts

Bearish Structure Break:

- Price making LH/LL suddenly makes HH
- Trend line breaks to upside
- **Action:** Exit shorts, consider longs

Drawing Trend Lines

Rules:

1. Need minimum **3 touch points**
2. Connect swing lows (for uptrend support)
3. Connect swing highs (for downtrend resistance)
4. More touch points = stronger trend line
5. Trend valid until broken

Channels:

- Parallel lines containing price action
- Upper line = resistance
- Lower line = support
- Price "ping pongs" between lines

6. ENTRY STRATEGIES

The 3-Entry Rule (Core Strategy)

Never go all-in at once. Always scale in.

For LONG Positions (Spot or Futures)

Entry 1: 20% at first signal

- RSI hits 30 on HTF
- Or price at first support level
- Conservative entry

Entry 2: 20% at confirmation

- RSI hits 24-25
- Or price at second support level
- Building position

Entry 3: 60% at strongest signal

- RSI hits 16-20 (extreme oversold)
- Or price at trend line support
- Or Bollinger Band bottom + multiple confluence
- Heaviest position at safest entry

Why This Works:

- Average cost in the middle
- Protected if price drops further (only 20-40% in)
- Biggest position at best price (60% at bottom)

For SHORT Positions (Futures Only)

Entry 1: 20% at first signal

- RSI hits 70 on HTF
- Or price at first resistance level

Entry 2: 20% at confirmation

- RSI hits 80

Entry 3: 60% at strongest signal

- RSI hits 88-95 (extreme overbought)
 - Or Bollinger Band top + multiple confluence
-

Entry Checklist - LONG Position

Minimum Requirements (Must Have 3/5):

1. ☒ RSI in oversold zone (15-30) on HTF
2. ☒ Price at support/demand zone
3. ☒ QQE Mod showing green volume bars
4. ☒ Bollinger Bands at bottom (if using 1m scalping)
5. ☒ Market structure bullish OR reversing to bullish

Additional Confirmations (Bonus):

- ☒ Bullish divergence on RSI
- ☒ Trend line support holding
- ☒ Confluence zone (multiple timeframe support)
- ☒ Volume increasing
- ☒ Chart pattern forming (double bottom, falling wedge, rounded bottom)

Example Perfect Long Setup:

- Daily timeframe
- BTC at \$28,600 (Fibonacci 0.25 level support)
- RSI at 22 (oversold)
- Green volume on QQE Mod
- Trend line support also at \$28,600
- High confluence

Action:

- Entry 1: 20% at \$28,600
 - Entry 2: 20% at \$28,200 (if drops)
 - Entry 3: 60% at \$27,800 (trend line - ATR)
-

Entry Checklist - SHORT Position

Minimum Requirements (Must Have 3/5):

1. ☒ RSI in overbought zone (70-95) on HTF
2. ☒ Price at resistance/supply zone
3. ☒ QQE Mod showing red volume bars

4. ☒ Bollinger Bands at top (if using 1m scalping)
5. ☒ Market structure bearish OR reversing to bearish

Additional Confirmations (Bonus):

- ☒ Bearish divergence on RSI
 - ☒ Resistance level tested multiple times (weakening)
 - ☒ Volume decreasing on up moves
 - ☒ Chart pattern forming (double top, rising wedge, rounded top)
-

Special Entry Strategies

Breakout/Retest Entry (High Win Rate)

For LONG (Bullish Breakout):

1. Resistance broken to upside
2. Price comes back down to retest old resistance
3. Old resistance now acts as NEW SUPPORT (SR flip)
4. Hold as support = Entry
5. If fails to hold = Fake breakout, exit

For SHORT (Bearish Breakdown):

1. Support broken to downside
2. Price comes back up to retest old support
3. Old support now acts as NEW RESISTANCE (RS flip)
4. Reject as resistance = Entry
5. If reclaims above = Fake breakdown, exit

Divergence Entry (Advanced)

Bullish Divergence:

- Price making lower lows
- RSI making higher lows
- Indicates selling exhaustion
- **Entry:** When RSI turns up + price bounces

Bearish Divergence:

- Price making higher highs
- RSI making lower highs
- Indicates buying exhaustion
- **Entry:** When RSI turns down + price rejects

Inefficient Candle Fill (Gap Trading)

Rule: Large candles create "inefficiencies" that always get filled

Strategy:

1. Mark any large green or red candle on HTF (daily, weekly)
2. Price will eventually return to fill that gap
3. Entry when price approaches the inefficient candle zone
4. High probability support/resistance

Example:

- Weekly BTC has large green candle at \$35,000
 - Price now at \$50,000
 - If BTC corrects, \$35,000 zone will act as support
 - Entry opportunity when price fills inefficiency
-

7. EXIT STRATEGIES & TAKE PROFIT

Take Profit Levels (Level-to-Level Trading)

Rule: Never exit at random prices. Always exit at marked resistance levels.

TP Structure for LONG Positions

TP1 (33% of position):

- First resistance level above entry
- Conservative profit taking
- Secures some gains

TP2 (33% of position):

- Second resistance level
- Moderate target

TP3 (34% of position):

- Third resistance level or major HTF resistance
- Swing for fences

Example:

- Entry: \$28,600

- TP1: \$30,000 (first resistance) - Take 33%
- TP2: \$31,500 (second resistance) - Take 33%
- TP3: \$32,500 (major resistance) - Take 34%

TP Structure for SHORT Positions

TP1 (33% of position):

- First support level below entry

TP2 (33% of position):

- Second support level

TP3 (34% of position):

- Third support or major HTF support

Scalping Take Profits (1-Minute Strategy)

Rule: 5-15% profit target, then IMMEDIATELY EXIT

Why So Tight:

- 1-minute timeframe = high volatility
- Goal is many small wins, not one big win
- Don't get greedy on LTF

Example:

- Entry: \$29,000
- TP: \$29,500 (1.7%) - EXIT ALL
- Or TP: \$30,000 (3.4%) - EXIT ALL

Re-entry:

- If setup appears again, re-enter
- Fresh trade, fresh stop

Dynamic Exit Strategy (Trail Your Winners)

For Strong Trending Moves:

Option 1: Trailing Stop

1. Move stop to breakeven after TP1 hit
2. Trail stop below each new higher low
3. Let trend run until stopped out

Option 2: RSI Exit

- Entered at RSI 20 (oversold)
- Exit when RSI reaches 70-80 (overbought)
- Ride the full oscillation

Option 3: Bollinger Band Exit

- Entered at bottom band
 - Exit at top band
 - Scalping strategy
-

Portfolio Take Profit (Long-Term)

From 60% Long-Term Portfolio:

When coin does 2x (100% gain):

1. **Take out initial investment** (50% of position)
2. **Let rest ride** (50% of position = "free coins")
3. Now you can't lose (initial capital secured)

Example:

- Invested \$1,000 in BTC at \$30,000
 - BTC hits \$60,000 (2x)
 - Sell \$1,000 worth (initial capital back)
 - Hold remaining ~0.0167 BTC as "free position"
 - Can ride to \$100k+ with zero risk
-

When to Exit EARLY (Stop Out Manually)

Exit before stop loss hit if:

1. ☒ Market structure breaks against you
2. ☒ HTF trend reverses
3. ☒ Confluence breaks down (support becomes resistance)
4. ☒ Volume dries up in your direction
5. ☒ Bearish divergence appears (if long)

"Trade your plan, but don't marry your position"

8. STOP LOSS PLACEMENT (ATR METHOD)

The Problem with Fixed Stops

- Random \$10, \$50, \$100 stops = amateur approach
- Same stop for all assets = wrong
- Same stop for all timeframes = wrong
- Stops at exact support = get hit by wicks

The ATR Solution

ATR (Average True Range):

- Measures average candle size over 14 periods
 - Accounts for volatility
 - Different for each asset
 - Different for each timeframe
-

ATR Stop Loss Formula

FOR LONG POSITIONS:

Stop Loss Price = Support Level - ATR Value

FOR SHORT POSITIONS:

Stop Loss Price = Resistance Level + ATR Value

Step-by-Step ATR Stop Process

Step 1: Add ATR Indicator

- Platform: TradingView (or your platform)
- Search: "ATR"
- Settings: Keep at 14 periods (default)

Step 2: Find ATR Value

- Move cursor to **far right** of chart (or off chart)
- Read number in top-left of ATR indicator

- This is current ATR value

Step 3: Identify Your Support/Resistance

- Recent swing low (for long)
- Recent swing high (for short)
- Or marked horizontal level

Step 4: Calculate Stop

- $\text{Support} - \text{ATR} = \text{Stop (long)}$
- $\text{Resistance} + \text{ATR} = \text{Stop (short)}$

Step 5: Set Stop at Calculated Price

ATR Examples by Timeframe

Example 1: BTC Daily Chart (Long)

- Support Level: \$28,600
- ATR (Daily): \$1,200
- **Stop Loss = \$28,600 - \$1,200 = \$27,400**

Example 2: ETH 15-Minute Chart (Long)

- Support Level: \$4,339
- ATR (15m): \$16.02
- **Stop Loss = \$4,339 - \$16.02 = \$4,322.98**

Example 3: BTC 1-Minute Scalp (Long)

- Support Level: \$29,000 (Bollinger bottom)
- ATR (1m): \$50
- **Stop Loss = \$29,000 - \$50 = \$28,950**

Example 4: Short Position

- Resistance Level: \$32,000
- ATR (4h): \$400
- **Stop Loss = \$32,000 + \$400 = \$32,400**

ATR Values by Asset & Timeframe (Reference)

Asset	Timeframe	Typical ATR	Notes
BTC	1m	\$30-80	Very tight stops
BTC	15m	\$150-250	Scalping range
BTC	4h	\$400-800	Swing range
BTC	Daily	\$1,000-3,000	Position range
ETH	1m	\$2-5	Very tight
ETH	15m	\$15-25	Scalping
ETH	4h	\$30-60	Swing
ETH	Daily	\$100-300	Position
Altcoins	Varies	2-5x BTC ATR	More volatile

Benefits of ATR Stops

1. **Less Stop-Outs:** Allows for normal volatility
 2. **Asset-Specific:** Auto-adjusts for different coins
 3. **Timeframe-Specific:** Auto-adjusts for different charts
 4. **Precise Risk:** Know exact \$ risk before entering
 5. **Professional:** Used by institutions
-

Common ATR Mistakes to Avoid

✗ Using cursor in middle of chart (old ATR value) ✗ Setting stop at exact support (no buffer)
 ✗ Ignoring ATR, using random \$ amounts ✗ Same ATR for all timeframes ✗ Same ATR for all assets

✓ Cursor at far right (current ATR) ✓ Support - ATR = Stop (buffer included) ✓ Check ATR every trade
 ✓ ATR specific to your timeframe ✓ ATR specific to your asset

Risk/Reward with ATR Stops

The Trade-Off:

- Wider stop = Higher \$ risk per trade

- BUT: Higher win rate (fewer false stop-outs)
- **Net result: Better overall P&L**

Example:

- **Without ATR:**
 - Tight stop at \$28,550 (only \$50 risk)
 - Gets stopped out 40% of time by normal volatility
 - Win rate: 60%
- **With ATR:**
 - ATR stop at \$27,400 (risk \$1,200)
 - Only gets stopped out by real reversals
 - Win rate: 75%

Which is Better?

- 75% win rate with larger stops > 60% with tight stops
 - Stay in winning trades longer
 - Exit only on real reversals
-

9. POSITION SIZING & LEVERAGE

The 3-Entry Position Sizing

Total Capital: \$1,000 Example

Entry 1: 20% (\$200)

- First signal
- Conservative

Entry 2: 20% (\$200)

- Confirmation signal
- Building position
- Total invested: \$400 (40%)

Entry 3: 60% (\$600)

- Strongest signal
- Biggest entry at best price
- Total invested: \$1,000 (100%)

Average Cost:

- Middle of the three entries
- Protected from overpaying
- Maximized best entry

Leverage Framework

What is Leverage:

- Borrow money from exchange to trade larger position
- Example: \$1,000 capital + 10x leverage = \$10,000 position
- Your \$1,000 is collateral for potential losses

Leverage Risk Table

Leverage	Position Size	Liquidation Distance	Risk Level	Trader Type
1x	\$1,000	N/A (spot)	Low	Beginner
2x	\$2,000	50% move	Low-Medium	Beginner
3x	\$3,000	33% move	Medium	Intermediate
5x	\$5,000	20% move	Medium-High	Intermediate
10x	\$10,000	10% move	High	Advanced
20x	\$20,000	5% move	Very High	Expert
50x+	\$50,000+	2% move	Extreme	Degenerate

Liquidation = Your collateral gone, position closed

Recommended Leverage by Strategy

Long-Term Portfolio (60% of capital)

- **Leverage: 1x (SPOT only)**
- No leverage on long-term holds
- Can't get liquidated
- Sleep peacefully

Mid-Term Swing Trades (20% of capital)

- **Leverage: 2-3x maximum**
- Can handle 33-50% drawdown
- Safer for multi-day/week holds
- Most people should use this range

Short-Term Scalping (20% of capital)

- **Leverage: 5-10x maximum**
- Very tight stops required
- High risk, high reward
- Only for experienced traders
- 1-minute strategy uses this range

Day Trading

- **Leverage: 3-5x**
- Intraday holds only
- Close all positions by end of day
- Moderate risk

Leverage Examples

Example 1: Conservative Swing (2x)

- Capital: \$1,000
- Position Size: \$2,000
- Can handle 50% loss before liquidation
- Entry: \$28,000
- Stop Loss (ATR): \$27,000 (3.5% move)
- Risk: \$70 (3.5% of \$2,000 position = 7% of capital)

Example 2: Moderate Scalp (5x)

- Capital: \$1,000
- Position Size: \$5,000
- Can handle 20% loss before liquidation
- Entry: \$29,000
- Stop Loss (ATR): \$28,700 (1% move)
- Risk: \$50 (1% of \$5,000 position = 5% of capital)

Example 3: Aggressive Scalp (10x)

- Capital: \$1,000
- Position Size: \$10,000

- Can handle 10% loss before liquidation
 - Entry: \$29,000 (1m Bollinger bottom)
 - Stop Loss (ATR): \$28,950 (0.17% move)
 - Risk: \$17 (0.17% of \$10,000 = 1.7% of capital)
 - **Must have tight stop and quick exit**
-

Leverage Safety Rules

1. **Never use more leverage than you understand**
2. **Higher leverage = MUST use tighter stops**
3. **Can adjust leverage mid-trade** (add/remove collateral)
4. **Track your liquidation price** (always visible on platform)
5. **If in doubt, use less leverage**

Golden Rule:

"If you're not confident in the trade, don't use high leverage to 'make up for it'"

Cross Margin vs Isolated Margin

Cross Margin:

- All account balance used as collateral
- One position liquidates = Entire account at risk
- Can dynamically add margin to save position
- **Use for:** High-confidence trades, better position management

Isolated Margin:

- Only allocated amount used as collateral
- One position liquidates = Only that position lost
- Can't add more margin easily
- **Use for:** Risky trades, multiple positions open

Recommendation:

- Start with **Isolated** (safer)
 - Graduate to **Cross** when experienced
-

Position Size by Portfolio Allocation

From \$10,000 Total Portfolio:

Long-Term (60% = \$6,000):

- Spot BTC: \$2,000 (1x)
- Spot ETH: \$1,500 (1x)
- Spot Top Alts: \$2,500 (1x)
- Never liquidated

Mid-Term (20% = \$2,000):

- Swing Trade 1: \$1,000 (2-3x leverage = \$2,000-3,000 position)
- Swing Trade 2: \$1,000 (2-3x leverage = \$2,000-3,000 position)

Short-Term (20% = \$2,000):

- Scalp trades: \$500 per trade (5-10x = \$2,500-5,000 position)
- 4 active scalps maximum

10. RISK MANAGEMENT RULES

The 10 Commandments of Risk Management

1. Never Risk More Than You Can Afford to Lose

- Only trade with "risk capital"
- Money you won't need for 6-12 months minimum
- Emergency fund separate

2. The 1-2% Rule

Per Trade Risk:

- Risk maximum 1-2% of total portfolio per trade
- \$10,000 portfolio = Max \$100-200 risk per trade
- This = position size × stop loss distance

Example:

- Portfolio: \$10,000
- Max risk: \$200 (2%)
- Entry: \$28,000
- Stop: \$27,400 (ATR stop)
- Distance: \$600
- **Position Size: $\$200 \div \$600 = 0.33 \text{ BTC}$ (or \$9,240 worth)**

3. Double Your Money = Take Out Initial Investment

Rule: When any long-term position 2x, withdraw initial capital

Example:

- Invested: \$1,000 in BTC at \$30k
- BTC hits \$60k (2x)
- Sell: \$1,000 worth (get initial back)
- Hold: Rest as "free position"
- **Now can't lose original capital**

4. Use Only PROFITS for Next Trade

After Winning Trade:

- Made \$200 profit on \$1,000 position
- **DO NOT** re-enter with full \$1,200
- **ONLY** use \$200 (the profit) for next entry
- Keep original \$1,000 safe

Why:

- Protects capital
- Only risk your gains
- Can't go broke this way

5. Set Daily Profit Targets & Stop

Scalping/Day Trading:

- Set daily target (e.g., \$100/day)
- **When hit, STOP trading**
- Don't give back gains

Example:

- Start: \$1,000
- Target: \$100 profit (+10%)
- Hit target: CLOSE platform
- Come back tomorrow

6. Set Daily Loss Limits & Stop

Maximum Daily Loss:

- Set max loss (e.g., \$100/day or -10%)

- **When hit, STOP trading immediately**
- Don't revenge trade

Example:

- Start: \$1,000
- Max loss: \$100 (-10%)
- Hit limit: CLOSE platform
- Review what went wrong
- Come back tomorrow fresh

7. Maximum 3 Open Positions (Beginners)

Prevents Over-Exposure:

- Beginners: Max 3 trades open
- Intermediate: Max 5 trades
- Can't track more effectively

Exception:

- Long-term holds (60% portfolio) don't count
- This rule for active trading positions

8. Never Add to Losing Position

NO Averaging Down:

- Position going against you ≠ add more
- This violates 3-entry rule
- **Only add at planned Entry 2 and Entry 3**

Correct:

- Planned Entry 1: \$28,600
- Planned Entry 2: \$28,200
- Planned Entry 3: \$27,800
- **Follow the plan**

Wrong:

- Entry: \$28,600
- Price drops to \$27,500 (past your stop)
- **DO NOT** add more "to average down"
- Accept the loss, move on

9. Move Stop to Breakeven After TP1

Risk Elimination:

- Hit first take profit (TP1)
- **Immediately** move stop to entry price
- Now a "risk-free" trade
- Worst case: Breakeven

10. Keep a Trading Journal

Document Everything:

- Date & time
- Asset traded
- Entry price & reasons
- Exit price & reasons
- Result (win/loss/breakeven)
- Emotions during trade
- Lessons learned

Review Monthly:

- Identify patterns
 - What works
 - What doesn't
 - Adjust strategy
-

Risk Management by Portfolio Type

Long-Term Portfolio (60%)

- **Risk:** Minimal (spot only, no liquidation)
- **Management:** Buy and hold, DCA at key levels
- **Review:** Monthly

Mid-Term Portfolio (20%)

- **Risk:** 2% max per trade
- **Leverage:** 2-3x max
- **Management:** Mark levels, set alerts, take profits at resistance
- **Review:** Weekly

Short-Term Portfolio (20%)

- **Risk:** 1% max per scalp
- **Leverage:** 5-10x

- **Management:** Tight stops, quick profits (5-15%)
 - **Review:** Daily
-

The Biggest Mistakes (What NOT to Do)

❌ **FOMO into trades** (enter without setup) ❌ **Revenge trading** (trying to win back losses immediately) ❌ **Moving stops** (widening stop after entry) ❌ **Removing stops** (hoping it comes back) ❌ **Overleveraging** (20x+ without experience) ❌ **Not using stops** (relying on "manual exit") ❌ **Trading too many coins** (can't track them all) ❌ **Checking charts 24/7** (emotional exhaustion) ❌ **Trading drunk/tired/emotional** (impaired decisions) ❌ **Following Twitter shillers** (lose objectivity)

✅ **Wait for setup** (patience) ✅ **Accept losses** (they're part of the game) ✅ **Follow your stops** (discipline) ✅ **Use appropriate leverage** (know your risk tolerance) ✅ **Journal everything** (learn from mistakes) ✅ **Trade 2-3 coins max** (focus) ✅ **Set alerts, live life** (don't watch charts) ✅ **Trade in peak mental state** (well-rested) ✅ **Trust your analysis** (ignore noise)

Psychological Risk Management

Managing Emotions:

When Winning:

- Don't get cocky
- Don't increase leverage
- Stick to plan
- Take profits at targets

When Losing:

- Don't revenge trade
- Don't go "all-in" to recover
- Take a break
- Review what went wrong
- Come back fresh

Stress Management:

- Only trade with money you can lose
- Use stops (peace of mind)
- Don't watch every tick

- Have life outside trading
-

11. PORTFOLIO MANAGEMENT (3-PORTFOLIO SYSTEM)

The 60/20/20 Rule

Total Capital Split:

- **60%** = Long-Term Portfolio (HODL)
- **20%** = Mid-Term Portfolio (Swing Trading)
- **20%** = Short-Term Portfolio (Scalping/Day Trading)

Example with \$10,000:

- Long-Term: \$6,000
 - Mid-Term: \$2,000
 - Short-Term: \$2,000
-

Long-Term Portfolio (60%) - HODL Strategy

Purpose:

- Accumulate for next bull run
- Hold through bear market
- Maximum gains from cycle (3-5x on BTC, 5-20x on alts)

Timeframe:

- **1-2 years minimum**
- Enter: Accumulation phase (2023-2024)
- Exit: Bull market peak (2025-2026)

Leverage:

- **NONE (1x spot only)**
- No liquidation risk
- Sleep peacefully

Allocation Example (\$6,000):

- **40% Bitcoin:** \$2,400
- **30% Ethereum:** \$1,800
- **30% Top Altcoins:** \$1,800

- S-Tier: FET, TRON, RENDER (60%)
- A-Tier: SOL, XRP, BNB (30%)
- New Cycle: TAO, PEPE, SUI (10%)

Management:

- Buy during accumulation
- DCA at key support levels
- **DO NOT** sell during corrections
- Only sell in bull market at resistance targets

Take Profit Strategy:

- When coin 2x: Take out initial investment
- Let rest ride as "free position"
- Scale out at major resistance levels in bull market

Mid-Term Portfolio (20%) - Swing Trading

Purpose:

- Catch multi-day/week trends
- Trade level-to-level on HTF
- Moderate risk, moderate reward

Timeframe:

- **1-3 months per trade**
- Hold through minor corrections
- Exit at major resistance or structure break

Leverage:

- **2-3x maximum**
- Can handle 33-50% drawdown before liquidation

Allocation Example (\$2,000):

- **Trade 1:** \$1,000 (2-3x = \$2,000-3,000 position)
- **Trade 2:** \$1,000 (2-3x = \$2,000-3,000 position)
- Maximum 2-3 open positions

Entry Strategy:

- Use level-to-level method (Fibonacci levels)

- HTF timeframes: 12h, Daily
- 3-entry scaling (20%, 20%, 60%)

Exit Strategy:

- TP1, TP2, TP3 at marked resistance levels
- Or trail stop as trade moves

Profit Compounding:

- Made 2x (\$1,000 profit from \$1,000 trade)
- **Take half:** \$500 → Move to long-term portfolio
- **Keep half:** \$500 → Use for next mid-term trade

Example:

- Start: \$2,000 mid-term portfolio
- Trade 1: \$1,000 → 2x → \$2,000
- Take: \$500 (move to long-term)
- Re-enter: \$500 (new trade)
- Remaining: \$1,000 (for other trades)

Short-Term Portfolio (20%) - Scalping/Day Trading

Purpose:

- Quick profits (5-15% per trade)
- Many small wins compound
- Active income from trading

Timeframe:

- **Minutes to hours**
- 1-minute scalps (secret strategy)
- Day trades closed same day
- Never hold overnight (too risky with leverage)

Leverage:

- **5-10x maximum**
- Tight stops required
- High risk, high reward

Allocation Example (\$2,000):

- **Per trade:** \$400-500 (5-10x = \$2,000-5,000 position)
- **Maximum 4 trades open** at once
- Quick rotation

Entry Strategy:

- Use 1-minute scalping strategy
- Bollinger Band + RSI + QQE Mod
- 3-entry rule (20%, 20%, 60%)

Exit Strategy:

- **Immediate exit at 5-15% profit**
- No greed
- Take profit, find next setup

Daily Target:

- Set realistic target (e.g., \$100/day = 5% of \$2,000)
- Hit target → STOP trading for the day
- Protect gains

Daily Loss Limit:

- Set max loss (e.g., \$100/day = 5% loss)
- Hit limit → STOP immediately
- Review mistakes tomorrow

Profit Compounding:

- Made \$100 profit today
- **Take half:** \$50 → Move to long-term portfolio
- **Keep half:** \$50 → Add to short-term capital
- Tomorrow trade with \$2,050

Example Week:

- Monday: +\$100
- Tuesday: +\$80
- Wednesday: -\$50 (bad day, stopped)
- Thursday: +\$120
- Friday: +\$90
- **Total: +\$340**
- Move \$170 to long-term
- Keep \$170 in short-term (now \$2,170)

Portfolio Rebalancing

When to Rebalance:

- **Monthly** review
- After major gains/losses
- When portfolio drifts from 60/20/20

How to Rebalance:

If Long-Term grows too much (e.g., 75%)

- Don't sell long-term in bear market
- Deposit more to mid/short-term
- Or let it ride until bull market

If Short-Term grows too much (e.g., 30%)

- Take excess profits
- Move to long-term portfolio
- Return to 20%

If Taking Losses:

- Don't move money between portfolios to "recover"
- Each portfolio independent
- Respect the allocation

Compounding Strategy (The Secret to Wealth)

Never re-enter with full capital after winning

Example Flow:

1. Short-term: \$2,000 capital
2. Trade 1: \$500 position → \$750 (+50% or \$250 profit)
3. **Split profit:**
 - Take \$125 → Long-term portfolio
 - Keep \$125 → Short-term capital (now \$2,125)
4. Trade 2: \$500 position (from original pool)
5. Repeat

After 100 Trades at 50% avg win:

- Original: \$2,000 short-term
- Moved to long-term: ~\$10,000+
- Short-term grown to: ~\$3,000+
- **Total: \$13,000 from \$2,000 (6.5x)**

Key: Never risk compounded profits. Always split.

Portfolio Management Tools

Spreadsheet Tracking:

Portfolio	Allocation	Current Value	% of Total	Coins Held
Long-Term	60%	\$6,500	62%	BTC, ETH, SOL, FET
Mid-Term	20%	\$2,100	20%	2 active trades
Short-Term	20%	\$1,900	18%	Cash for scalps
Total	100%	\$10,500	100%	

Update Weekly

Common Portfolio Mistakes

❌ **All-in on short-term** (90% risk capital) ❌ **No long-term portfolio** (miss bull run gains) ❌
Moving money between portfolios (revenge trading) ❌ **Re-entering with full capital + profits** (lose everything) ❌ **No separation** (one big portfolio = emotional trades)

✅ **60/20/20 split** (balanced risk) ✅ **Compound properly** (split profits) ✅ **Independent portfolios** (don't cross-contaminate) ✅ **Track everything** (spreadsheet or app) ✅ **Rebalance monthly** (stay disciplined)

12. FUTURES TRADING FRAMEWORK

What Are Futures?

Futures vs Spot:

Spot Trading:

- You BUY and OWN the actual crypto

- Can only profit from price going UP
- Exchange ownership of assets
- Example: Buy 1 BTC at \$30k, sell at \$40k = \$10k profit

Futures Trading:

- You DON'T own the crypto
 - Trade a CONTRACT that tracks the price
 - Can profit from UP or DOWN
 - Only need collateral to cover potential losses
 - Can use LEVERAGE
-

Two Types of Futures Margin

1. USD/USDT Margin (Stable Coin Margin)

How It Works:

- Use USD or stablecoins (USDT, USDC) as collateral
- Profit/loss paid in USD
- Collateral value STABLE

Pros:

- Easy to calculate risk
- Collateral doesn't change value
- Recommended for most traders

Cons:

- None really (this is the default choice)

Use Cases:

-  Speculating on price movements
-  Don't own crypto yet
-  Want predictable liquidation levels

2. Coin Margin (Inverse Contracts)

How It Works:

- Use crypto (BTC, ETH) as collateral
- Profit/loss paid in crypto
- Collateral value CHANGES with market

Pros:

- Don't need to sell crypto to trade
- Exponential gains in bull market (if long)
- Can hedge spot holdings (if short)

Cons:

- Collateral loses value in bear (if long)
- More complex risk management
- Liquidation price moves

Risk Profiles:

Position	Market	Collateral	Trade P&L	Result
LONG	Bull	Gains	Gains	 Exponential WIN
LONG	Bear	Loses	Loses	 Exponential LOSS
SHORT	Bull	Gains	Loses	 Hedge (cancel out)
SHORT	Bear	Loses	Gains	 Hedge (cancel out)

Use Cases:

-  Own BTC/ETH, want to hedge spot in bear market
-  Bull market, want exponential gains (long with BTC collateral)
-  Avoid capital gains tax (don't sell spot)
-  Just speculating (use USD margin instead)

Going Long vs Going Short

LONG Position (Bullish)

What it means:

- You think price will go UP
- Open: BUY/LONG
- Close: SELL (at higher price)
- Profit = Exit Price - Entry Price

Example:

- Entry: BUY at \$28,000
- Exit: SELL at \$32,000
- Profit: \$4,000 per BTC

Risk:

- Price goes down
- Loss limited to your collateral
- Liquidation if drops too much

SHORT Position (Bearish)**What it means:**

- You think price will go DOWN
- Open: SELL/SHORT
- Close: BUY (at lower price)
- Profit = Entry Price - Exit Price

Example:

- Entry: SELL at \$32,000
- Exit: BUY at \$28,000
- Profit: \$4,000 per BTC

Risk:

- Price goes up
- Loss potentially unlimited (price can rise infinitely)
- Liquidation if rises too much

Leverage in Futures (Detailed)**How Leverage Works:**

- Your capital = Collateral to cover losses
- Exchange lends you money to trade bigger position
- Your risk/reward magnified

Leverage Table:

Your Capital	Leverage	Position Size	Liquidation Distance
\$1,000	1x	\$1,000	Never (spot)
\$1,000	2x	\$2,000	50% move
\$1,000	3x	\$3,000	33% move
\$1,000	5x	\$5,000	20% move
\$1,000	10x	\$10,000	10% move
\$1,000	20x	\$20,000	5% move

P&L Magnification Example:

Without Leverage (1x):

- Capital: \$1,000
- Position: \$1,000
- BTC moves 10%
- P&L: \$100 (10% of capital)

With 2x Leverage:

- Capital: \$1,000
- Position: \$2,000
- BTC moves 10%
- P&L: \$200 (20% of capital)

With 10x Leverage:

- Capital: \$1,000
- Position: \$10,000
- BTC moves 10%
- P&L: \$1,000 (100% of capital - WIPED OUT or DOUBLED)

Funding Rate (Perpetual Futures)

What is Funding Rate:

- Fee paid every 3-8 hours (depends on exchange)
- Keeps futures price = spot price
- Paid between LONGS and SHORTS

Who Pays:

Positive Funding (Most Common):

- Futures price > Spot price
- **LONGS pay SHORTS**
- Incentivizes shorting to bring price down

Negative Funding (Rare):

- Futures price < Spot price
- **SHORTS pay LONGS**
- Incentivizes buying to bring price up

Typical Rates:

- Bitcoin: ~10% annually (~0.01% per 8 hours)
- Altcoins: Higher (more volatile)

Example:

- You're long \$10,000 position
- Funding rate: 0.01%
- You pay: \$1 every 8 hours (\$3/day)
- Over 1 week: \$21
- Over 1 month: ~\$90

Trading Implications:

- Short-term trades: Ignore funding (negligible)
- Long-term holds: Factor it in (adds up)
- Extremely high positive funding: Too many longs (bearish signal)
- Negative funding: Too many shorts (bullish signal)

Cross Margin vs Isolated Margin

Cross Margin

How It Works:

- ALL account balance used as collateral
- Can move funds between positions
- One position affects entire account

Pros:

- Flexible (add margin to save position)
- Can reduce liquidation risk dynamically

Cons:

- One bad trade can liquidate entire account
- Higher risk

Use For:

- High-confidence trades
- When you want to manage risk actively
- Experienced traders

Isolated Margin

How It Works:

- ONLY allocated amount used as collateral
- Each position independent
- Can't affect other positions

Pros:

- Safer (limit risk per trade)
- One liquidation doesn't affect others

Cons:

- Can't easily add more margin
- Each position rigid

Use For:

- Risky/experimental trades
- Multiple positions at once
- Beginners (safer)

Recommendation:

- **Beginners:** Start with Isolated
- **Intermediate:** Isolated for risky, Cross for main trades
- **Advanced:** Cross with tight risk management

Step-by-Step Futures Trade

Opening LONG Position

Example: BTC USDT Perpetual, 2x Leverage

1. **Go to Futures Section**
 - Choose "USDT Margin"
 - Select BTC/USDT pair
2. **Set Leverage**
 - Click leverage slider
 - Choose 2x
 - Confirm
3. **Choose Margin Type**
 - Cross or Isolated
 - Recommendation: Isolated for beginners
4. **Enter Order**
 - Order Type: Market (immediate) or Limit (specific price)
 - Amount: \$1,000
 - With 2x leverage, position = \$2,000
 - Cost to you: \$500 (half)
5. **Set Stop Loss**
 - Calculate: Support - ATR
 - Example: \$27,400
 - Set stop loss order
6. **Set Take Profit**
 - Mark resistance levels
 - TP1: \$30,000 (33% out)
 - TP2: \$31,500 (33% out)
 - TP3: \$32,500 (34% out)
7. **Click "Open Long"**
 - Confirm
 - Position now open
8. **Monitor**
 - Entry Price: \$28,000
 - Mark Price: Current price
 - Liquidation Price: \$14,000 (with 2x leverage, ~50% down)
 - Unrealized P&L: Live profit/loss
9. **Close Position**
 - Hit take profit → Auto close
 - Or manually: "Close Long" → Market order

Opening SHORT Position

Same as above, but:

1. Click "Open Short" (SELL)

2. Liquidation price is ABOVE entry (not below)
 3. Profit when price goes DOWN
-

Futures Risk Management

Key Rules:

1. **Know your liquidation price** (always visible)
2. **Use stops** (never trade without)
3. **Start with low leverage** (2-3x max for beginners)
4. **Never risk more than 2% capital per trade**
5. **Close positions if uncertain** (don't hope)
6. **Track funding rate** (for long-term holds)
7. **Don't use cross margin until experienced**
8. **Set alerts** (don't watch 24/7)

Leverage Guidelines:

Experience	Max Leverage	Strategy
Beginner	2-3x	Swing trades, HTF
Intermediate	3-5x	Day trades, medium TF
Advanced	5-10x	Scalps, tight stops
Expert	10-20x	Ultra scalps, tiny stops
Degenerate	20x+	Gambling (avoid)

When to Use Futures

Use Futures When: ☒ Want to profit from downtrends (short) ☒ Want to use leverage responsibly ☒ Want to hedge spot holdings ☒ Day trading / scalping (more capital efficient) ☒ Have strong conviction in direction

Avoid Futures When: ☒ New to crypto ☒ Can't handle liquidation risk ☒ Want to hold long-term (use spot) ☒ Emotional trader ☒ Don't understand leverage

13. SECRET SCALPING STRATEGY (1-MINUTE)

Overview

What is Scalping:

- Ultra-short timeframe trading
- 1-minute chart
- 5-15% profit targets
- Many small wins compound
- High frequency (10-20+ trades per day)

Requirements:

- Fast execution
 - Tight stops
 - Discipline (take profit immediately)
 - 5-10x leverage
 - \$500-1,000 minimum capital
-

The Setup

Timeframe:

- **1-minute chart ONLY**

Leverage:

- **5-10x**
- Tight stops make this safe
- Example: \$500 capital × 10x = \$5,000 position

Market:

- Bitcoin or major altcoins (liquid markets)
 - Avoid low-volume coins
-

Step-by-Step Scalping Strategy

STEP 1: Check Overall Market Trend

Before scalping:

- Check Bitcoin on higher timeframe (15m, 1h, 4h)
- **Bullish trend?** Look for LONG scalps
- **Bearish trend?** Look for SHORT scalps
- **Sideways?** Can trade both

Why:

- Trend is your friend
 - Fighting trend = lower win rate
-

STEP 2: RSI Levels (THE HEART)

For LONG Scalps:

Entry 1: 20% position at RSI 30

- RSI just entering oversold
- Conservative entry

Entry 2: 20% position at RSI 24

- RSI deeper oversold
- Building position
- Total: 40%

Entry 3: 60% position at RSI 16-18

- RSI extreme oversold
- Biggest entry at safest level
- Total: 100%

Best Entry Zones:

- **RSI below 16** = Super long zone (immediate entry)
- **RSI 16-20** = Strong long zone (scale in)
- **RSI 20-30** = Oversold zone (start scaling)

For SHORT Scalps:

Entry 1: 20% position at RSI 70

- RSI just entering overbought

Entry 2: 20% position at RSI 80

- RSI deeper overbought
- Total: 40%

Entry 3: 60% position at RSI 92-95

- RSI extreme overbought
- Biggest entry
- Total: 100%

Best Entry Zones:

- **RSI above 88** = Super short zone (immediate entry)
 - **RSI 80-88** = Strong short zone (scale in)
 - **RSI 70-80** = Overbought zone (start scaling)
-

STEP 3: QQE Mod Confirmation

Long Entry:

- Must see **GREEN volume bars** appearing
- Means buying pressure starting
- If still red bars, WAIT

Short Entry:

- Must see **RED volume bars** appearing
- Means selling pressure starting
- If still green bars, WAIT

Why:

- Confirms momentum
 - Increases win rate
 - Filters false signals
-

STEP 4: Bollinger Bands (CRITICAL)

Long Entry Requirements:

- Price must be at **BOTTOM of Bollinger Band**
- RSI oversold
- QQE Mod green bars
- **AND Bollinger Bands must have GAP** (not squeezed)

Short Entry Requirements:

- Price must be at **TOP of Bollinger Band**
- RSI overbought
- QQE Mod red bars
- **AND Bollinger Bands must have GAP** (not squeezed)

AVOID TRADING WHEN:

- **Bollinger Bands squeezed together** (close)
- No gap between top and bottom
- This means big volatile move coming (unpredictable direction)
- **WAIT for bands to expand**

Squeeze Pattern:

- Bands compress → Volatility explosion coming
 - Check direction bands pointing:
 - Pointing up → Likely breakout UP
 - Pointing down → Likely breakdown DOWN
 - But DON'T trade the squeeze, wait for expansion
-

STEP 5: Take Profit (Non-Negotiable)

Target:

- **5-15% profit**
- **EXIT IMMEDIATELY when hit**

Example:

- Entry: \$29,000
- Target 1: \$29,500 (1.7%) - Take all
- OR Target 2: \$30,000 (3.4%) - Take all

Why So Tight:

- 1-minute timeframe = very volatile
- Can reverse quickly
- Many small wins > one big win
- Compounding effect

DON'T:

- **✗** Get greedy

-  Hold for bigger gains
-  Turn scalp into swing trade

DO:

-  Take profit at target
 -  Close position
 -  Find next setup
 -  Re-enter if setup appears again
-

Complete Scalping Checklist

LONG Scalp Entry:

Before Entry:

1.  Market trend bullish (or sideways)
2.  RSI in oversold zone (16-30)
3.  QQE Mod green volume bars
4.  Price at BOTTOM of Bollinger Band
5.  Bollinger Bands have GAP (expanded)
6.  Have clear take profit target (5-15%)

If ALL checked → Execute 3-entry scaling

After Entry:

1. Set stop loss (ATR method: Support - ATR)
2. Set take profit alert
3. Monitor, but don't micro-manage
4. Exit immediately at 5-15% profit

SHORT Scalp Entry:

Before Entry:

1.  Market trend bearish (or sideways)
2.  RSI in overbought zone (70-95)
3.  QQE Mod red volume bars
4.  Price at TOP of Bollinger Band
5.  Bollinger Bands have GAP (expanded)
6.  Have clear take profit target (5-15%)

If ALL checked → Execute 3-entry scaling

Example Scalp Trade

Setup:

- Asset: BTC/USDT
- Timeframe: 1-minute
- Trend: Bullish (checked 15m chart)

Signals:

- Price: \$29,000 (at bottom Bollinger Band)
- RSI: 18 (extreme oversold)
- QQE Mod: Green bars appearing
- Bollinger Bands: Wide gap (not squeezed)

Position:

- Capital: \$500
- Leverage: 10x
- Position Size: \$5,000
- Entries:
 - Entry 1 (20%): \$1,000 at RSI 30 (\$29,100)
 - Entry 2 (20%): \$1,000 at RSI 24 (\$29,050)
 - Entry 3 (60%): \$3,000 at RSI 18 (\$29,000)
- Average Entry: ~\$29,030

Stop Loss:

- 1m ATR: \$50
- Support: \$29,000
- Stop: $\$29,000 - \$50 = \$28,950$
- Risk: $\$80 \times 10x = \80 on \$5,000 position (1.6% of capital)

Take Profit:

- Target: 10% = \$2,900
- TP: $\$29,030 + \$290 = \$29,320$
- Reward: $\$290 \times 10x = \500 profit (100% of capital!)

Execution:

- Entered at avg \$29,030
- Price pumped to \$29,320 in 8 minutes
- Exited ALL at \$29,320

- **Profit: \$500 (100% on \$500 capital in 8 minutes)**

Next:

- Look for next setup
 - Don't force trades
 - Wait for all criteria
-

Scalping Risk Management

Daily Rules:

1. **Set Daily Profit Target**
 - Example: \$100/day on \$500 capital (20%)
 - Hit target → STOP trading
 - Protect gains
 2. **Set Daily Loss Limit**
 - Example: -\$100/day max (20% loss)
 - Hit limit → STOP immediately
 - No revenge trading
 - Review mistakes tomorrow
 3. **Maximum Trades Per Day**
 - Beginners: 5-10 trades
 - Experienced: 10-20 trades
 - Don't over-trade (mental fatigue)
 4. **Only Use 20% of Portfolio**
 - From 3-portfolio system
 - Short-term allocation
 - Never risk long-term capital on scalping
 5. **Leverage Rules**
 - Start with 5x (safer)
 - Graduate to 10x when consistent
 - Never use 20x+ for scalping
-

Common Scalping Mistakes

✗ Not waiting for ALL signals (impatient entry) **✗ Trading during Bollinger squeeze** (unpredictable) **✗ Holding past 5-15% target** (greed) **✗ Scalping without trend check** (fighting market) **✗ Using too much leverage** (25x+, instant liquidation) **✗ Over-trading** (fatigue, mistakes) **✗ No stop loss** (one bad trade wipes account) **✗ Revenge trading after loss** (emotional)

✅ **Wait for perfect setup** (all boxes checked) ✅ **Avoid squeezes** (patience) ✅ **Take profit immediately at target** (discipline) ✅ **Check higher timeframe trend** (context) ✅ **Use 5-10x leverage max** (manageable risk) ✅ **Limit daily trades** (stay sharp) ✅ **Always use ATR stops** (risk management) ✅ **Accept losses and move on** (mental game)

Scalping Performance Tracking

Track Every Trade:

Date	Time	Asset	Entry	Exit	Result	%	\$ P&L	Cumulative
5/1	09:15	BTC	29000	29300	Win	+10%	+\$50	\$550
5/1	10:30	BTC	29400	29100	Loss	-10%	-\$50	\$500
5/1	14:00	ETH	4300	4430	Win	+3%	+\$15	\$515

Review Daily:

- Win rate (aim for 60%+)
- Average win vs average loss
- Best setups
- Worst mistakes
- Emotional state during trades

Adjust Weekly:

- What's working
 - What's not
 - Refine entry criteria
 - Improve discipline
-

14. LEVEL-TO-LEVEL TRADING (HTF STRATEGY)

Overview

What is Level-to-Level:

- Trading between marked support and resistance levels

- Higher timeframe strategy (12h, Daily, Weekly)
- Lower frequency, higher accuracy
- Swing trades lasting days to weeks
- Lower leverage (2-3x)

vs Scalping:

Aspect	Scalping	Level-to-Level
Timeframe	1m	12h, Daily
Holding	Minutes	Days-Weeks
Leverage	5-10x	2-3x
Targets	5-15%	20-50%+
Frequency	10-20/day	2-5/month

Step-by-Step Level-to-Level Process

STEP 1: Fibonacci Level Marking (HTF - 12 Hour)

Open 12h Chart:

- Bitcoin or altcoin
- Weekly timeframe acceptable too

Find Swing High and Swing Low:

- **Swing High:** Highest point in recent range (resistance)
- **Swing Low:** Lowest point in recent range (support)

Apply Fibonacci Retracement:

1. Click Fibonacci tool
2. Click on swing LOW (bottom)
3. Drag to swing HIGH (top)
4. Release

Mark Key Levels:

- **0 (100%):** Bottom of range (Support)
- **0.25 (75%):** First support above bottom
- **0.5 (50%):** Middle of range
- **0.75 (25%):** First resistance below top

- **1.0 (0%):** Top of range (Resistance)

Color Code:

- **0 and 0.25 and 0.5:** BLUE (support zones)
- **0.75 and 1.0:** RED (resistance zones)

Example:

- Swing Low: \$25,000 (0 level)
 - 0.25: \$28,750
 - 0.5: \$32,500 (mid-range)
 - 0.75: \$36,250
 - Swing High: \$40,000 (1.0 level)
-

STEP 2: Add Support/Resistance (4h Chart)

Switch to 4h Timeframe:

- More granular levels

Use Auto Support JC Indicator:

- Automatically draws levels
- Or manually mark horizontal levels at:
 - Recent swing highs (RED)
 - Recent swing lows (BLUE)

Mark Additional Confluence:

- Previous support that held multiple times
 - Previous resistance that rejected multiple times
 - Round numbers (\$30k, \$35k, etc.)
-

STEP 3: Add Support/Resistance (1h Chart)

Switch to 1h Timeframe:

- Even more granular

Mark Micro Levels:

- Recent swing highs/lows
- Intraday support/resistance

- Use for precise entries

Now You Have Multi-Timeframe Levels:

- 12h: Macro levels (Fibonacci)
 - 4h: Swing levels
 - 1h: Micro levels
 - Creates "confluence zones" where multiple levels align
-

STEP 4: Draw Trend Lines (Back to 12h)

Switch Back to 12h Chart:

Identify Trend:

- Uptrend: Draw line connecting higher lows
- Downtrend: Draw line connecting lower highs
- Sideways: Draw horizontal channel

Draw Trend Line:

1. Find 3+ touch points (minimum)
2. Connect them with diagonal line
3. Extend into future

Example Uptrend:

- Touch 1: \$25,000
- Touch 2: \$26,500
- Touch 3: \$28,000
- Extend line → Next touch expected ~\$29,500

Confluence Zone:

- Where trend line intersects with horizontal support
 - Example: Trend line + 0.25 Fib + 4h support all at \$28,600
 - **High confluence = strongest entry**
-

STEP 5: Identify Entry Zone

Look for Convergence:

- Horizontal support (Fibonacci or marked level)

- Trend line support
- Previous support that held
- Highest confluence = Best entry

Example Perfect Zone:

- 0.25 Fibonacci: \$28,750
- Trend line: \$28,600
- 4h support: \$28,700
- Previous bounce: \$28,650
- **Confluence Zone: \$28,600-28,750**

Wait for Price to Reach Zone

STEP 6: Entry Execution (3-Entry Rule)

When Price Enters Confluence Zone:

Entry 1: 20% at Top of Zone

- \$28,750 (first touch of zone)
- Conservative

Entry 2: 40% at Middle of Zone

- \$28,675 (zone mid-point)
- Building position
- Total: 60%

Entry 3: 40% at Bottom of Zone + Trend Line

- \$28,600 (trend line + Fib + max confluence)
- Heaviest at safest
- Total: 100%

Capital Example (\$1,000):

- Entry 1: \$200 at \$28,750
- Entry 2: \$400 at \$28,675
- Entry 3: \$400 at \$28,600
- Average: ~\$28,658

STEP 7: Set Stop Loss (ATR Method)

Calculate Stop:

- Bottom of confluence zone: \$28,600
- ATR (12h): Let's say \$800
- **Stop Loss: \$28,600 - \$800 = \$27,800**

Why Below Trend Line:

- If trend line breaks, structure broken
- No point holding
- Protects capital

Risk:

- Entry avg: \$28,658
 - Stop: \$27,800
 - Risk: \$858 per BTC
 - With \$1,000 position: ~3% risk
-

STEP 8: Set Take Profits

Look at Resistance Levels Above:

TP1 (33% of position):

- First resistance: \$30,000 (round number + marked level)
- Target: \$30,000
- Gain: \$1,342 per BTC
- Take profit on 33%

TP2 (33% of position):

- Second resistance: \$31,500 (0.5 Fib or marked level)
- Target: \$31,500
- Gain: \$2,842 per BTC
- Take profit on another 33%

TP3 (34% of position):

- Third resistance: \$33,000 (0.75 Fib or major resistance)
- Target: \$33,000
- Gain: \$4,342 per BTC
- Take profit on final 34%

Set Limit Orders or Alerts:

- Don't need to watch charts 24/7
 - Let it ride to targets
-

STEP 9: Management

If Price Reaches TP1:

1. Take profit on 33%
2. Move stop to breakeven (\$28,658)
3. Now risk-free trade
4. Let rest ride to TP2 and TP3

If Price Hits Stop:

1. Accept loss (~3%)
2. Review trade (was entry premature?)
3. Wait for next setup

If Trend Line Breaks Before Stop:

1. Exit manually
 2. Structure broken
 3. Don't wait for stop
-

Level-to-Level Example (Complete Trade)

Asset: BTC/USDT Timeframe: 12h Date: Bear Market (July 2023)

Step 1: Mark Levels

- Swing Low (0): \$25,000
- Swing High (1.0): \$32,000
- 0.25 Fib: \$28,750
- 0.5 Fib: \$30,000
- 0.75 Fib: \$31,250

Step 2: Draw Trend Line

- Uptrend forming
- Touch points: \$25k, \$26.5k, \$27.5k
- Trend line extends to \$28,600 zone

Step 3: Identify Entry

- Confluence at \$28,600-28,750
- 0.25 Fib + Trend line + Previous support

Step 4: Wait

- Price at \$31,000 (too high)
- Wait for pullback to \$28,600 zone

Step 5: Execute (Price Reaches Zone)

- Entry 1: \$200 at \$28,750 (RSI 35)
- Entry 2: \$400 at \$28,675 (RSI 28)
- Entry 3: \$400 at \$28,600 (RSI 22, trend line)
- Avg Entry: \$28,658

Step 6: Set Stops & Targets

- Stop: \$27,800 (ATR method)
- TP1: \$30,000 (33%)
- TP2: \$31,250 (33%)
- TP3: \$32,500 (34%)

Step 7: Wait (Days/Weeks)

- No need to watch
- Alerts set
- Live your life

Step 8: Results

- Day 5: Hit TP1 at \$30,000
 - Profit: \$1,342 on 33% (\$443 realized)
 - Move stop to breakeven
- Day 12: Hit TP2 at \$31,250
 - Profit: \$2,592 on 33% (\$856 realized)
- Day 18: Hit TP3 at \$32,500
 - Profit: \$3,842 on 34% (\$1,306 realized)

Total Profit:

- $\$443 + \$856 + \$1,306 = \text{\$2,605 profit on \$1,000 capital}$
- **+260% in 18 days** (with 2-3x leverage)
- **+130% without leverage**

Risk Managed:

- Only risked 3% (\$30)

- Used level-to-level strategy
 - Patience paid off
-

Key Success Factors

What Makes Level-to-Level Work:

1. **Confluence** (multiple levels align)
 2. **Patience** (wait for price to reach zone)
 3. **Trend alignment** (trade with HTF trend)
 4. **Proper stop placement** (ATR method)
 5. **Scaled entries** (3-entry rule)
 6. **Clear targets** (marked levels)
 7. **Risk management** (2-3% max risk)
 8. **Time** (let trade develop over days/weeks)
-

When Level-to-Level Fails

Exit Early If:

1. ☒ Market structure breaks (HH/HL becomes LH/LL)
2. ☒ Trend line breaks
3. ☒ News event changes market (don't hold through uncertainty)
4. ☒ Volume dries up (no follow-through)
5. ☒ Bitcoin breaks key level (affects all alts)

Don't:

- ☒ Hold hoping it comes back
 - ☒ Add to losing position
 - ☒ Remove stop loss
 - ☒ Turn swing into long-term hold
-

Level-to-Level vs Scalping

When to Use Level-to-Level: ☒ Want lower stress (don't watch charts all day) ☒ Have small capital (can use moderate leverage safely) ☒ Want higher % gains per trade (20-50%+) ☒
Have patience (wait days/weeks) ☒ Prefer lower frequency (2-5 trades/month)

When to Use Scalping: ✓ Want active trading (enjoy watching charts) ✓ Have more capital (can make money on small % moves) ✓ Want daily income (many small wins) ✓ Have time (can dedicate hours daily) ✓ Prefer high frequency (10-20 trades/day)

Best Approach:

- Use BOTH
 - 20% capital for scalping
 - 20% capital for level-to-level swings
 - 60% for long-term holds
-

15. CHART PATTERNS

Bullish Reversal Patterns (Bottom Signals)

1. Double Bottom (W Pattern)

Structure:

- Price tests same low TWICE
- Forms "W" shape
- Middle peak = "neckline"

Example:



Entry Rules:

1. Identify two similar lows (within 5% of each other)
2. Mark neckline (resistance between the two lows)
3. Wait for breakout above neckline
4. **Enter on retest** of neckline as support
5. If retest fails, exit (false breakout)

Target:

- Measure distance from low to neckline
- Project that distance upward from neckline

- Example: Low at \$20k, neckline at \$25k (diff = \$5k)
- Target: \$25k + \$5k = \$30k

Stop Loss:

- Below second low
- If price makes new low, pattern invalidated

Example:

- BTC forms double bottom at \$19,000
- Neckline at \$22,000
- Breaks above \$22,000
- Retest at \$21,800 (holds)
- **Entry: \$21,800**
- Target: \$25,000
- Stop: \$18,500

Success Rate:

- High on HTF (Daily, Weekly)
- Medium on LTF (1h, 4h)
- Requires volume confirmation

2. Falling Wedge

Structure:

- Price making lower highs and lower lows
- Converging trend lines (getting narrower)
- Both lines sloping downward
- "Ping pongs" between lines
- Reaches apex → Breaks UP

Visual:



Entry Rules:

1. Draw upper trend line (connect lower highs)
2. Draw lower trend line (connect lower lows)
3. Need minimum 4 touch points (2 per line)
4. Wait for breakout ABOVE upper trend line
5. Volume must increase on breakout
6. **Enter on retest** of broken upper line as support

Target:

- Look left for previous resistance levels
- Or measure widest part of wedge
- Project upward from breakout

Stop Loss:

- Below most recent low within wedge
- Or below lower trend line

Example:

- ETH falling wedge from \$4,500 to \$3,800
- Upper line at \$4,200
- Lower line at \$3,900
- Breaks above \$4,200 with volume
- Retests \$4,150 (holds)
- **Entry: \$4,150**
- Target: \$4,800 (previous resistance)
- Stop: \$3,850

Why It Works:

- Selling pressure exhausting (narrowing range)
- Bulls stepping in at higher lows
- Breakout = trend reversal

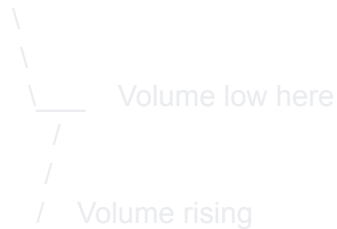
3. Rounded Bottom

Structure:

- Large decline followed by consolidation
- Forms "U" shape or bowl

- Volume decreases during formation
- Volume increases at breakout

Visual:



Entry Rules:

1. Identify large red candle (selloff)
2. Price goes sideways (consolidation)
3. Volume diminishes (gray bars on QQE Mod)
4. RSI bottoms and starts rising
5. Volume starts increasing (green bars)
6. **Enter when price breaks above consolidation high**

Target:

- Distance from bottom to consolidation
- Project upward

Stop Loss:

- Below rounded bottom
- Or use ATR method

Example:

- BTC dumps from \$65k to \$50k (large red candle)
- Consolidates \$50k-52k for 2 weeks (low volume)
- RSI at 25-35 (oversold)
- Volume picks up (green bars)
- Breaks \$52k
- **Entry: \$52,500**
- Target: \$56,000
- Stop: \$49,500

Bearish Reversal Patterns (Top Signals)

4. Double Top (M Pattern)

Structure:

- Price tests same high TWICE
- Forms "M" shape
- Middle dip = "neckline"

Visual:



Entry Rules:

1. Identify two similar highs (within 5% of each other)
2. Mark neckline (support between the two highs)
3. Wait for breakdown below neckline
4. **Enter SHORT on retest** of neckline as resistance
5. If reclaims above neckline, exit (false breakdown)

Target:

- Measure distance from high to neckline
- Project that distance downward from neckline
- Example: High at \$70k, neckline at \$65k (diff = \$5k)
- Target: $\$65k - \$5k = \$60k$

Stop Loss:

- Above second high
- If price makes new high, pattern invalidated

Example:

- BTC forms double top at \$69,000
 - Neckline at \$62,000
 - Breaks below \$62,000
 - Retests \$62,500 (rejects)
 - **Entry SHORT: \$62,500**
 - Target: \$57,000
 - Stop: \$70,000
-

5. Rising Wedge

Structure:

- Price making higher highs and higher lows
- Converging trend lines (getting narrower)
- Both lines sloping upward
- "Ping pongs" between lines
- Reaches apex → Breaks DOWN

Visual:

/

/ HH

/ ^

// \

// \ HH

// \ V

// \ HL

//

/ HL

Entry Rules:

1. Draw lower trend line (connect higher lows)
2. Draw upper trend line (connect higher highs)
3. Need minimum 4 touch points (2 per line)
4. Watch for diminishing volume on rallies
5. Wait for breakdown BELOW lower trend line
6. **Enter SHORT on retest** of broken lower line as resistance

Target:

- Look left for previous support levels
- Or measure widest part of wedge
- Project downward from breakdown

Stop Loss:

- Above most recent high within wedge
- Or above upper trend line

Example:

- ETH rising wedge from \$3,000 to \$4,200
- Lower line at \$3,800

- Upper line at \$4,200
- Volume decreasing on each rally (bearish)
- Breaks below \$3,800
- Retests \$3,850 (rejects)
- **Entry SHORT: \$3,850**
- Target: \$3,200 (previous support)
- Stop: \$4,250

Why It Works:

- Buying pressure exhausting (narrowing range)
- Bears stepping in at lower highs
- Breakdown = trend reversal

6. Rounded Top

Structure:

- Large rally followed by consolidation
- Forms inverted "U" shape or dome
- Volume decreases during formation
- Volume increases on breakdown

Visual:



Entry Rules:

1. Identify large green candle (rally)
2. Price goes sideways at top (consolidation)
3. Volume diminishes (gray bars)
4. RSI tops and starts declining
5. Volume starts increasing on down moves (red bars)
6. **Enter SHORT when price breaks below consolidation low**

Target:

- Distance from top to consolidation

- Project downward

Stop Loss:

- Above rounded top
- Or use ATR method

Example:

- BTC rallies from \$50k to \$65k (large green candles)
 - Consolidates \$63k-65k for 2 weeks (low volume)
 - RSI at 75-85 (overbought)
 - Volume picks up on down moves (red bars)
 - Breaks \$63k
 - **Entry SHORT: \$62,500**
 - Target: \$56,000
 - Stop: \$66,000
-

Pattern Confirmation Checklist

For Any Pattern:

Volume Confirmation:

-  Volume increases on breakout/breakdown
-  Volume decreases during pattern formation
-  No volume = unreliable pattern

RSI Confirmation:

-  Bullish pattern: RSI oversold + rising
-  Bearish pattern: RSI overbought + falling
-  RSI opposite direction = weak pattern

Timeframe:

-  HTF patterns (Daily, Weekly) more reliable
-  LTF patterns (1h, 4h) less reliable
-  Very LTF (5m, 15m) often false

Retest:

-  Always wait for retest (higher win rate)
-  Entering on breakout alone = risky (fake outs common)

Context:

-  Pattern aligns with higher timeframe trend
 -  Pattern against HTF trend = risky
 -  Pattern at key support/resistance = stronger
-

Combining Patterns with Other Strategies

Pattern + Level-to-Level:

- Double bottom forms at Fibonacci 0.25 level
- Adds confluence
- Higher probability

Pattern + Market Structure:

- Falling wedge forms during HH/HL structure
- Confirms bullish bias
- Strong entry

Pattern + Divergence:

- Double bottom + bullish RSI divergence
- Very strong signal
- High win rate

Example Perfect Setup:

- **Asset:** BTC
 - **Pattern:** Falling wedge
 - **Location:** 0.25 Fibonacci support (\$28,600)
 - **Structure:** Making HH/HL (bullish)
 - **RSI:** Bullish divergence (oversold + rising)
 - **Volume:** Increasing on breakout
 - **Confluence:** Trend line + Fib + pattern
 - **Entry:** \$28,800 (retest of wedge breakout)
 - **Target:** \$32,000 (next resistance)
 - **Stop:** \$27,800 (below wedge)
 - **Win Rate:** 80%+
-

Pattern Trading Mistakes

✗ **Trading pattern in isolation** (no context) ✗ **Entering on breakout** (no retest wait) ✗
Ignoring volume (fake outs) ✗ **Trading LTF patterns only** (unreliable) ✗ **Not using stops**
(patterns can fail) ✗ **Forcing patterns** (seeing them where they don't exist)

✓ **Combine with other analysis** (levels, structure, RSI) ✓ **Wait for retest** (patience) ✓
Check volume (confirmation) ✓ **Focus on HTF patterns** (Daily+) ✓ **Always use stops** (risk
management) ✓ **Be selective** (quality over quantity)

16. ALTCOIN SELECTION FRAMEWORK

Core Philosophy

"Altcoins are oscillators to Bitcoin at best" - Benjamin Cowan

What This Means:

- Don't expect altcoins to 10x when BTC 2x
- Expect altcoins to oscillate: pump, dump, pump, dump
- Goal: Find BEST oscillators (consistent pump/dump cycles)
- Always measure in **BTC pairs**, not USD

Why BTC Pairs:

- Everything pumps in USD during bull market
 - But does it outperform Bitcoin?
 - If not, just buy Bitcoin (simpler, safer)
 - **Base case: Hold BTC**
 - **Only buy alt if it oscillates better than BTC**
-

The Two Hard Filters (Must Pass Both)

FILTER 1: Bull Run Recovery Test

Question: Did the coin have a bull run in 2024/2025 cycle?

Requirement:

- Compare 2024/2025 top vs 2021 top (in BTC ratio)
- Must recover **minimum 35%** of previous cycle's performance
- This proves it can oscillate (still relevant)

Example:

- 2021 top: 0.00100 BTC
- 2024 top: Must be at least 0.00035 BTC (35% recovery)
- If yes: PASS
- If no: FAIL (dead coin)

Why 35%:

- Accounts for diminishing returns
- Still shows life/relevance
- Most coins don't even achieve this

FILTER 2: Floor Protection Test

Question: Is current price below last bear market low?

Requirement:

- Current price (in BTC ratio) must be **above** 2022 bear market low
- Cannot be making new 5-year lows vs BTC
- This proves downside limited (oscillator intact)

Example:

- 2022 low: 0.00020 BTC
- Current price: Must be above 0.00020 BTC
- If yes: PASS
- If no: FAIL (broken oscillator, keep dropping)

Why This Matters:

- If making new lows, negative price discovery
- Oscillator broken (going down only)
- Even if pumps, you're catching falling knife

Tier Rankings**S TIER (4 Coins) - Outperformed Bitcoin****Definition:**

- 2024/2025 top HIGHER than 2021 top (vs BTC)
- Not just recovered, but exceeded previous peak
- Rarest category

Coins:

1. **FET (Fetch.ai / ASI Alliance)**
 - 2024 top: 120% higher than 2021
 - AI narrative
 - Keeps rebranding (caution)
 - But data doesn't lie
 2. **TRON (TRX)**
 - Outperformed BTC by 50%
 - Currently 200% above 5-year low
 - Nobody talks about it
 - Best performing major coin
 3. **RENDER (RNDR)**
 - Outperformed BTC by 41%
 - 96% above 5-year low
 - AI/rendering narrative
 - Longest running AI coin
 4. **ZCASH (ZEC) ⚠**
 - Outperformed BTC by 23%
 - 1,500% above 5-year low
 - Privacy narrative
 - **Risky:** Depends on privacy narrative continuing
-

A TIER (6 Coins) - Strong Oscillators

Definition:

- Did not outperform BTC
- But recovered 65%+ of previous cycle
- Holding floor well
- Reliable oscillators

Coins:

1. **FLOKI**
 - Best performing meme (by data)
 - Not Doge, Shib, or Pepe
 - Recovered on par with 2021
 - Strong oscillator range
2. **XRP**
 - Very strong oscillator
 - ISO 20022 payment narrative
 - Lawsuit victory tailwind
 - Held floor, pumped well

3. **MONERO (XMR)** ⚠
 - Privacy narrative (like Zcash)
 - Risky if narrative dies
 - Strong 2025 performance
4. **SOLANA (SOL)**
 - 29% less than 2021 cycle
 - But 180% above 5-year low
 - Slightly stronger than ETH
 - High-performance L1
5. **ETHEREUM (ETH)**
 - Weakest in A tier
 - 31% less than 2021
 - 70% above 5-year low
 - Bottomed late (April 2025)
 - **Must hold floor** or drops to B
6. **BNB**
 - Strong oscillator
 - Recovered 50%+ of gains
 - Held cycle lows
 - Binance ecosystem

Pattern:

- Blue chip coins mostly in A tier
 - Reliable but not explosive
 - Lower risk, lower reward than S tier
-

B TIER (5 Coins) - Weak but Viable

Definition:

- Less than 35% recovery from 2021
- But still above 5-year low floor
- Weaker oscillators
- Higher risk

Coins:

1. **MKR (Maker)** - Only DeFi coin that qualifies
2. **XLM (Stellar Lumens)** - ISO 20022
3. **BCH (Bitcoin Cash)** - Surprisingly stabilized
4. **QNT (Quant)** - ISO 20022
5. **HBAR (Hedera)** - ISO 20022

Pattern:

- ISO 20022 payment coins (XRP narrative spillover)
- Older projects that stabilized
- Not dead, but not exciting

Risk:

- May not pump as hard next cycle
 - Diminishing returns continuing
 - Only buy if high conviction in narrative
-

F TIER (54 Coins) - AVOID**Definition:**

- Either broke floor (new 5-year low)
- Or no bull run in 2024/2025 at all
- Broken oscillators
- High risk, low reward

Examples of Broken Floor:**VET (VeChain)**

- Chart: Down only since 2021
- New lows vs BTC continuously
- No floor holding

ICP (Internet Computer)

- Down only since birth
- Never recovered
- Avoid

**AVAX **

- About to test 2020 lows
- Danger zone
- If breaks, F tier confirmed

INJ (Injective)

- Big 2023 pump
- But gave it ALL back

- New lows vs BTC
- Very risky

NEAR Protocol

- All-time low vs BTC
- Despite AI narrative
- Narrative not enough

Examples of No Bull Run:

FLOW

- Metaverse/NFT (dead narrative)
- No pump in 2024/2025
- Chart: Sideways only

FIL (Filecoin)

- Too expensive
- Kept dumping
- No interest

ONE (Harmony)

- Team appears to have given up
- No development
- Dying

SUSHI (Sushiswap)

- Nobody uses it
- Uniswap won
- DeFi narrative moved on

AXS (Axie Infinity)

- Metaverse dead
- P2E dead
- Not coming back

Why F Tier Fails:

- Dead narratives (Metaverse, old DeFi)
- No development (teams gave up)
- Better alternatives exist
- Overvalued without utility

New Cycle Coins (29 Coins - Born After 2022)

Challenge:

- Not enough data (less than one full cycle)
- Can't apply oscillator test
- Must evaluate individually

High Conviction Picks:

AI Category (HIGHEST CONVICTION)

Why AI:

- **Guaranteed narrative** next cycle
- Proven speculation wave
- Every bull run needs AI
- Biggest capital inflows

Top 3:

1. **TAO (Bittensor)**
 - Best AI fundamentals
 - Decentralized AI network
 - Active development
 - First cycle coin
 - Currently <\$300 (good entry)
 - **Risk:** FUD after recent drama
2. **FET (covered in S tier)**
 - Proven S tier oscillator
 - AI narrative
3. **RENDER (covered in S tier)**
 - Proven S tier oscillator
 - AI/rendering

Strategy:

- These 3 = core AI holdings
- When BTC pumps, AI narrative explodes
- Everyone becomes "AI coin"
- These are established leaders

Meme Category

Why Memes:

- Always part of every cycle
- Retail loves them
- High risk, high reward
- Sentiment-driven

Top Picks:

1. **FLOKI** (A tier - data-backed)
 - Best performing meme by oscillator test
 - Proven track record
2. **PEPE**
 - Most viral meme after Doge
 - Cultural relevance
 - Huge community
3. **WIF (dogwifhat)**
 - SEC mentioned as "digital collectible"
 - Solana meme leader
 - Institutional recognition
4. **BONK**
 - Solid Solana meme
 - Community-driven

Strategy:

- 5-10% of portfolio in memes max
 - High risk tolerance required
 - Sell on euphoria
-

Layer 1 Category

Why L1s:

- Always have narrative each cycle
- "Ethereum killer" never dies
- High-performance chains get attention

Top Pick:

1. **SUI**
 - Most promising new L1
 - Comparable to Solana in 2022
 - Fast, cheap, growing ecosystem

- Could be next cycle's SOL

Avoid:

- Most L1s are F tier (NEAR, ONE, AVAX borderline)
 - Market saturated
 - Only bet on 1-2 max
-

Infrastructure Category

Top Pick:

1. **ZRO (LayerZero)**
 - Still actively building
 - ZK developments
 - Cross-chain infrastructure
 - Not dead like most infra plays

Avoid:

- Most infra from last cycle failed
 - Overhyped, under-delivered
-

Political/Speculation Category

Top Pick:

1. **WLFI (World Liberty Financial) ⚠️**
 - Trump family office coin
 - **Unique narrative** (only one)
 - High risk, high reward
 - At all-time lows vs BTC currently
 - Bet on Trump influence

Risk Level: EXTREME

- Political risk
 - Regulation risk
 - But if Trump wins/influences crypto policy...
 - Could 10x+ (or go to zero)
-

Other Speculation

1. WLD (Worldcoin)

- OpenAI IPO Q4 2026
 - Sam Altman connection
 - Potential pump on news
 - Pure speculation
-

Recommended Altcoin Portfolio

Total Altcoin Allocation: 30% of Long-Term Portfolio

Core (60% of altcoin allocation = 18% of portfolio):

- S Tier: FET, TRON, RENDER (40%)
- A Tier: SOL, XRP, BNB, ETH (40%)
- AI: TAO (20%)

Satellite (30% of altcoin allocation = 9% of portfolio):

- B Tier: 1-2 picks if believe ISO 20022 (10%)
- New L1: SUI (10%)
- Memes: PEPE, WIF (10%)

Speculative (10% of altcoin allocation = 3% of portfolio):

- Political: WLFI (5%)
- Wild cards: WLD, others (5%)

Example \$10,000 Total Portfolio:

- BTC: \$4,000 (40%)
 - ETH: \$1,000 (10%)
 - Altcoins: \$3,000 (30%)
 - S/A Tier: \$1,800 (60%)
 - Satellite: \$900 (30%)
 - Speculative: \$300 (10%)
 - Fiat (trading): \$2,000 (20%)
-

Entry Timing for Altcoins

Two Options:

Option 1: Wait for BTC Low 50Ks (Conservative)

- BTC drops to \$50k-55k
- Altcoins will dump harder (BTC dominance rises)
- Buy alts at max fear
- Hold through next bull run

Option 2: Wait for Bull Run Confirmation (Momentum)

- BTC confirms new uptrend (breaks key resistance)
- Bull market starts
- Buy alts on momentum
- Miss some gains but lower risk

Best Approach:

- Split the difference
 - Buy 50% at low 50Ks
 - Buy 50% on bull confirmation
 - Dollar-cost average
-

Altcoin Trading Rules

Entry:

1. ☒ Check BTC chart first (is BTC setting up?)
2. ☒ Check BTC pair (not just USD)
3. ☒ Use same entry strategies (RSI, support, etc.)
4. ☒ Buy during accumulation or early bull

Hold:

1. ☒ Track BTC dominance (falling = altseason)
2. ☒ Monitor BTC chart (if BTC dumps, alts dump harder)
3. ☒ Have clear targets (resistance levels)

Exit:

1. ☒ Take profits at resistance levels (don't get greedy)
2. ☒ Exit when BTC dominance starts rising (altseason ending)
3. ☒ Sell in stages (never all at once)
4. ☒ Have stop losses (alts can dump 50% in days)

Never:

- ❌ Buy altcoins in bear market (they bleed vs BTC)
- ❌ Hold altcoins through full cycle (sell in bull)
- ❌ Buy F tier coins (broken oscillators)
- ❌ Buy coins making new 5-year lows
- ❌ Buy altcoins you didn't research
- ❌ FOMO into random shitcoins on Twitter

Dead Narratives to Avoid

❌ **Metaverse/NFTs** (FLOW, AXS, SAND) ❌ **Old DeFi without evolution** (SUSHI, 1INCH) ❌ **L1s that gave up** (ONE/Harmony) ❌ **Overvalued storage** (FIL) ❌ **Dog coins from last cycle** (except proven ones) ❌ **Anything making new 5-year lows**

✅ **AI** (guaranteed narrative) ✅ **Payments/ISO 20022** (XRP spillover) ✅ **Privacy** (if narrative continues) ✅ **Memes** (always relevant) ✅ **High-performance L1s** (SOL, SUI) ✅ **Proven oscillators** (S and A tier)

17. MARKET ANALYSIS TYPES

The Three Pillars of Analysis

Every trading decision should incorporate:

1. **Technical Analysis** (charts, indicators, levels)
2. **Fundamental Analysis** (unchanging characteristics)
3. **Sentiment Analysis** (market emotion/fear & greed)

None alone is sufficient. Use all three.

Technical Analysis (Covered Throughout)

What It Is:

- Chart patterns
- Indicator readings
- Support/resistance levels
- Market structure
- Trend lines

- Volume analysis

Characteristics:

- **Changes constantly** (minute to minute)
- Price-driven
- Short to medium-term signals
- Most of this guide is technical analysis

Use For:

- Entry timing
- Exit timing
- Risk management
- Day-to-day trading decisions

Limitation:

- Can't predict black swans
 - Doesn't account for fundamental shifts
 - Can be manipulated short-term
-

Fundamental Analysis

What It Is:

- Unchanging characteristics of a project
- Established when project created
- Technology, tokenomics, team, use case

Bitcoin Fundamentals (Example):

- ☒ 21 million max supply (scarce)
- ☒ Decentralized (no central authority)
- ☒ 4-year halving cycle (predictable supply reduction)
- ☒ Hedge against inflation (digital gold narrative)
- ☒ Longest-running crypto (security/trust)
- ☒ Largest market cap (liquidity)

These DON'T change based on price.

Ethereum Fundamentals (Example):

- ☒ Smart contract platform (utility)
- ☒ Proof of Stake (energy efficient)

-  Deflationary (burn mechanism)
-  DeFi hub (most TVL)
-  Developer ecosystem (largest)

Altcoin Fundamental Checklist:

For Any Coin, Research:

1. **Supply:**
 - Max supply (capped or unlimited?)
 - Circulating vs total
 - Inflation rate
 - Token unlocks (dilution coming?)
2. **Use Case:**
 - What problem does it solve?
 - Is it better than alternatives?
 - Real users or just speculation?
3. **Team:**
 - Doxxed (public identities)?
 - Track record (previous successes?)
 - Still active (GitHub commits?)
4. **Narrative:**
 - What category (AI, DeFi, L1, etc.)?
 - Is narrative alive or dead?
 - Backed by exchanges/institutions?
5. **Tokenomics:**
 - How are tokens distributed?
 - Team allocation (red flag if huge %)
 - Vesting schedules
 - Utility (why hold the token?)

Red Flags:

-  Unlimited supply (constant dilution)
-  Anonymous team (rug pull risk)
-  No real use case (pure speculation)
-  Dead narrative (metaverse in 2025)
-  Massive unlocks coming (price dump)
-  Team holds 50%+ (centralized)

Green Flags:

-  Capped supply
-  Doxxed, proven team
-  Solving real problem

-  Active narrative
 -  Fair distribution
 -  Exchange backing (Binance Launchpad, etc.)
-

How to Research Fundamentals

Sources:

1. **CoinMarketCap / CoinGecko**
 - Supply info
 - Links to website, Twitter, etc.
2. **Project Website**
 - Whitepaper
 - Team bios
 - Roadmap
3. **GitHub**
 - Code activity (are they building?)
 - Contributors (is it just one person?)
4. **Twitter / Discord**
 - Community sentiment
 - Team engagement
 - Announcement frequency
5. **TokenUnlocks.app**
 - Check for upcoming unlocks
 - Avoid coins with massive unlocks soon

Example Research (TAO - Bittensor):

-  Supply: Capped at 21M (Bitcoin model)
 -  Use case: Decentralized AI network (real utility)
 -  Team: Doxxed, PhDs in ML/AI
 -  Narrative: AI (hottest narrative)
 -  Development: Active GitHub, frequent updates
 -  Community: 50k+ engaged members
 -  Recent FUD: Founder drama (short-term noise)
 - **Verdict: Strong fundamentals, buy the FUD**
-

Sentiment Analysis

What It Is:

- Overall market emotion

- Fear vs Greed
 - Retail vs institutional positioning
 - **Changes constantly** (even faster than technicals)
-

Crypto Fear & Greed Index

Tool: Google "Crypto Fear & Greed Index"

Scale:

- **0-25: Extreme Fear** 😨
- **25-45: Fear** 😟
- **45-55: Neutral** 😐
- **55-75: Greed** 😊
- **75-100: Extreme Greed** 🤪

How to Use:

Extreme Fear (0-25):

- Market oversold
- Retail capitulating
- Media full of "crypto is dead" articles
- **Action: BUY** (contrarian opportunity)
- Warren Buffett: "Be greedy when others are fearful"

Fear (25-45):

- Market cautious
- Some capitulation
- **Action: DCA, build positions**

Neutral (45-55):

- No strong emotion
- Ranging market
- **Action: Wait for clear signal**

Greed (55-75):

- Market euphoric
- FOMO setting in
- "This time is different" narratives
- **Action: Take profits gradually**

Extreme Greed (75-100):

- Peak euphoria
 - Retail all-in
 - "BTC to \$1M" predictions everywhere
 - Your taxi driver asking about crypto
 - **Action: SELL** (top signal)
 - Warren Buffett: "Be fearful when others are greedy"
-

Historical Fear & Greed Examples

Extreme Fear Buying Opportunities:

- Nov 2022: Fear at 20 (FTX collapse)
 - BTC: \$15,000
 - Action: Buy
 - Result: BTC to \$69,000 (4.6x in 2 years)
- March 2020: Fear at 10 (COVID crash)
 - BTC: \$3,800
 - Action: Buy
 - Result: BTC to \$69,000 (18x in 1.5 years)

Extreme Greed Selling Opportunities:

- November 2021: Greed at 84
 - BTC: \$69,000 (peak)
 - Action: Sell
 - Result: BTC dropped to \$15,000 (78% decline)
- December 2017: Greed at 91
 - BTC: \$20,000 (peak)
 - Action: Sell
 - Result: BTC dropped to \$3,000 (85% decline)

Pattern:

- Extreme fear = bottoms (buy)
 - Extreme greed = tops (sell)
 - Contrarian approach wins
-

Social Media Sentiment

Twitter (X):

- Track what's trending
- #Bitcoin, #Ethereum, etc.
- Gauge retail emotion

What to Watch For:

Bearish Signals (Time to Buy):

- "Crypto is dead" trending
- Influencers capitulating
- Low engagement on posts
- People deleting crypto from bio
- Media: "End of crypto" articles

Bullish Signals (Time to Sell):

- Everyone talking about crypto
- Normies asking how to buy
- Influencers shilling random coins
- 10x, 100x, moon talk everywhere
- Media: "BTC to \$1M" articles
- Your friends/family asking about crypto

Example:

- 2021 peak: Crypto ads on Super Bowl, Matt Damon ads, everyone talking crypto
- 2022 bottom: Nobody talking crypto, influencers quitting, media silent
- 2023-2024 recovery: Crypto slowly coming back in discussions

Institutional Sentiment (Advanced)

Open Interest (CoinGlass.com):

- Shows leverage in market
- **Negative OI** (decreasing): Shorts building → Short squeeze potential (bullish)
- **Positive OI** (increasing): Longs building → Long squeeze potential (bearish)

Long/Short Ratio (CoinGlass.com):

- % of traders long vs short
- **>60% long**: Too many longs (bearish contrarian signal)
- **>60% short**: Too many shorts (bullish contrarian signal)

Funding Rate:

- **High positive funding:** Too many longs, expensive to hold longs (bearish)
 - **Negative funding:** Too many shorts, expensive to hold shorts (bullish)
-

Combining All Three Analyses

Perfect Buy Setup Example:

Technical:

- ☒ BTC at 0.25 Fibonacci support (\$28,600)
- ☒ RSI at 20 (oversold)
- ☒ Double bottom forming
- ☒ Volume increasing
- ☒ Bull market support band holding

Fundamental:

- ☒ 6 months before halving (accumulation phase)
- ☒ BTC fundamentals unchanged (still scarce, decentralized)
- ☒ Institutional adoption increasing (ETFs approved)

Sentiment:

- ☒ Fear & Greed at 25 (extreme fear)
- ☒ Media: "Crypto winter not over"
- ☒ Open Interest negative (shorts building)
- ☒ Funding rate negative (expensive to short)

Verdict:

- All three align = STRONG BUY
 - High conviction entry
 - Large position size (within risk limits)
-

Perfect Sell Setup Example:

Technical:

- ☒ BTC at 0.75 Fibonacci resistance (\$36,250)
- ☒ RSI at 82 (overbought)
- ☒ Double top forming
- ☒ Volume decreasing on rallies
- ☒ Bearish divergence

Fundamental:

- ⚠️ 18 months after halving (typical peak timing)
- ⚠️ Diminishing returns each cycle (5x expected, already did 4x)
- ⚠️ Macro environment shifting (Fed hiking rates)

Sentiment:

- ✅ Fear & Greed at 88 (extreme greed)
- ✅ Media: "BTC to \$1M by 2025"
- ✅ Open Interest extremely high (over-leveraged)
- ✅ Everyone you know asking about crypto

Verdict:

- All three align = STRONG SELL
 - High conviction exit
 - Take profits in stages
-

When Analyses Conflict

Scenario 1: Technicals bullish, Fundamentals/Sentiment bearish

- Example: Chart looks good, but negative news (regulation)
- **Action:** Smaller position, tighter stops

Scenario 2: Technicals bearish, Fundamentals/Sentiment bullish

- Example: Chart dumping, but halving coming soon
- **Action:** DCA, buy dips, long-term hold

Scenario 3: Two agree, one disagrees

- **Action:** Follow the majority (2/3 rule)

Golden Rule:

"When in doubt, zoom out"

- Check higher timeframe
 - Check fundamentals
 - Check sentiment
 - Don't trade if unclear
-

18. TRADING TOOLS & RESOURCES

Essential Platforms

1. TradingView (Charts)

URL: tradingview.com **Purpose:** Best charting platform **Cost:** Free (basic) or \$15-60/month (pro features)

Why Use:

- All indicators available
- Clean interface
- Multi-timeframe analysis
- Drawing tools
- Alerts

Recommendation: Get Pro (\$15/month) for:

- Multiple chart layouts
 - More indicators per chart
 - No ads
 - Faster data
-

2. Exchanges

For USA:

- **Coinbase** (easiest for beginners)
- **Kraken** (most compliant, lowest fees)
- **Gemini** (institutional grade)

For International:

- **Binance** (largest, most liquid)
- **Bybit** (best for futures)
- **OKX** (good futures)

Recommendation:

- Spot trading: Coinbase or Kraken
- Futures trading: Bybit or Binance
- Have accounts on 2-3 exchanges (redundancy)

3. CoinGlass (Market Data)

URL: coinglass.com **Purpose:** Futures market analytics **Cost:** Free

What to Use:

- **Long/Short Ratio:** Gauge sentiment
- **Open Interest:** Identify potential squeezes
- **Liquidation Heatmaps:** See where liquidations cluster
- **Funding Rates:** Cost to hold positions

Check:

- Before entering futures trades
- When market gets volatile
- To confirm sentiment analysis

4. CoinMarketCal (News Calendar)

URL: coinmarketcal.com **Purpose:** Track upcoming events **Cost:** Free

What to Track:

- Token unlocks (sell pressure incoming)
- Partnership announcements (potential pumps)
- Exchange listings (volume increase)
- Network upgrades (hype events)
- Conferences (marketing pumps)

Strategy:

- Buy rumor, sell news
- Avoid coins with major unlocks coming
- Target coins with positive catalysts

5. DexScreener (New Tokens)

URL: dexscreener.com **Purpose:** Track new token launches, meme coins **Cost:** Free

What to Find:

- New meme coins pumping

- 24h top gainers
- Ethereum, Solana, BSC chains
- Quick in/out opportunities (5-15% scalps)

Warning:

- Extremely high risk
 - Many scams/rugs
 - Only use speculative 1-5% of portfolio
 - Never hold long-term
-

6. TokenUnlocks.app

URL: tokenunlocks.app **Purpose:** Track token unlock schedules **Cost:** Free

Why Important:

- Large unlocks = sell pressure
- Price often dumps before/during unlocks
- **Avoid coins with >10% unlock coming within 1 month**

Check Before Buying:

- Any new altcoin
 - Before long-term holds
 - Monthly review of portfolio
-

7. Fear & Greed Index

URL: Google "Crypto Fear & Greed Index" **Purpose:** Gauge market sentiment **Cost:** Free

Check:

- Before major trades
- Weekly (to track changes)
- When market feels euphoric/depressed

Action Guide:

- 0-25: Buy aggressively
- 25-45: DCA
- 45-55: Neutral (wait)
- 55-75: Take some profits

- 75-100: Sell aggressively

Indicator Settings (TradingView)

Must-Have Indicators:

1. **RSI (Relative Strength Index)**
 - Settings: Period 14, Overbought 70, Oversold 30
2. **Bollinger Bands**
 - Settings: Period 20, StdDev 2
3. **ATR (Average True Range)**
 - Settings: Period 14
4. **QQE Mod**
 - Search: "QQE Mod"
 - Default settings
5. **Bull Market Support Band** (Bitcoin only)
 - Search: "Bull Market Support Band"
 - Weekly timeframe only
6. **EMA Ribbon**
 - Search: "EMA Ribbon"
 - Multiple EMAs (20-55)
7. **Auto Support JC** (optional)
 - Search: "Auto Support JC"
 - Auto draws support/resistance
8. **Fibonacci Retracement**
 - Built-in tool (left sidebar)
 - No settings needed

Portfolio Tracking

Spreadsheet Template (Google Sheets):

Date	Asset	Amount	Entry Price	Current Price	\$ Value	% Change	Portfolio %
1/1	BTC	0.1	30000	35000	3500	+16.7%	35%
1/1	ETH	5	2000	2200	11000	+10%	55%
1/1	SOL	50	20	22	1100	+10%	11%

Track:

- All holdings
- Entry prices

- Current value
- % allocation
- P&L per coin

Update:

- Weekly minimum
- After major trades
- Monthly rebalancing

Trading Journal Template

For Every Trade, Record:

Date: 2025-05-01
 Time: 14:30 UTC
 Asset: BTC/USDT
 Timeframe: 1h
 Direction: LONG
 Leverage: 5x

SETUP:

- RSI: 24 (oversold)
- Price at support: \$28,600
- Confluence: Fib 0.25 + Trend line
- QQE Mod: Green bars
- Pattern: Double bottom forming

ENTRY:

- Entry 1: \$28,750 (20% = \$200)
- Entry 2: \$28,650 (20% = \$200)
- Entry 3: \$28,600 (60% = \$600)
- Avg Entry: \$28,642

RISK MANAGEMENT:

- Stop Loss: \$27,800 (ATR method)
- Risk: \$842 per BTC (2.9% of capital)
- Position Size: \$1,000
- Leverage: 5x

TARGETS:

- TP1: \$30,000 (33% out)
- TP2: \$31,500 (33% out)

- TP3: \$33,000 (34% out)

RESULT:

- TP1 Hit: Day 3 (+\$1,358, 33% out)
- TP2 Hit: Day 7 (+\$2,858, 33% out)
- TP3 Hit: Day 10 (+\$4,358, 34% out)
- Total P&L: +\$2,858 (286% on \$1,000 with 5x leverage)

EMOTIONS:

- Pre-trade: Confident (all signals aligned)
- During: Patience (waited for entries)
- Exit: Disciplined (took profits at targets)

LESSONS:

-  Waiting for confluence paid off
-  3-entry rule averaged cost well
-  ATR stop not hit (gave room)
-  Could have trailed TP3 higher

Review Monthly:

- Win rate
 - Average win vs average loss
 - Best setups
 - Worst mistakes
 - Emotional patterns
-

Automation Tools

TradingView Alerts:

- Set price alerts at key levels
- RSI alerts (above 70, below 30)
- Indicator alerts (Bollinger Band touch)
- Don't need to watch charts 24/7

How to Set:

1. Right-click chart
2. "Add Alert"
3. Set condition
4. Choose notification (email, app, SMS)

Recommended Alerts:

- Price hits support/resistance
 - RSI enters oversold/overbought
 - Stop loss level approached
 - Take profit targets hit
-

Information Sources

You said: Continue

Continue

09:52

Claude responded: Daily News:

Daily News:

- **CoinDesk** (most credible)
- **The Block** (institutional focus)
- **Decrypt** (beginner-friendly)

Avoid:

- Clickbait "crypto news" sites
- Telegram pump groups
- Twitter shillers
- YouTube "experts" (most are scams)

On-Chain Data:

- **Glassnode** (paid, institutional-grade)
- **CryptoQuant** (some free features)
- **Sentiment** (social sentiment)

Use Sparingly:

- Don't get lost in data
 - Technical + Fundamental + Sentiment is enough
 - On-chain for advanced traders only
-

Security Tools

Hardware Wallets (Long-Term Holdings):

- **Ledger Nano X** (\$150)
- **Trezor Model T** (\$200)
- Store 60% long-term portfolio here
- Never keep on exchange

Authenticators (Exchange Security):

- **Google Authenticator** (free)
- **Authy** (free, backup)
- Enable 2FA on all exchanges

Password Managers:

- **1Password** (\$3/month)
- **LastPass** (free/paid)
- Use different password for each exchange

Security Rules:

1.  Never share private keys
 2.  Use hardware wallet for >\$10k
 3.  Enable 2FA everywhere
 4.  Use VPN when trading
 5.  Don't click random links (phishing)
 6.  Verify URLs (look for https, correct domain)
-

19. PSYCHOLOGY & DISCIPLINE

The Emotional Cycle of Trading

Stage 1: Optimism 😊

- Just learned strategy
- Paper trading winning
- Excited to start

Stage 2: Excitement 🤑

- First real trades winning
- Making money

- "This is easy!"

Stage 3: Thrill 🚀

- Multiple wins in a row
- Increasing position size
- Feeling invincible

Stage 4: Euphoria 🌙

- Peak confidence
- "I'm a genius"
- Taking huge risks
- **DANGER ZONE**

Stage 5: Anxiety 😬

- First loss after winning streak
- "Was that a fluke?"
- Slight doubt creeping in

Stage 6: Denial 🙄

- Losses mounting
- "It'll come back"
- Not following stops
- Holding losers

Stage 7: Fear 😨

- Significant losses
- Stop following plan
- Emotional decisions

Stage 8: Desperation 😭

- Revenge trading
- Going all-in to recover
- Maximum risk-taking
- **MOST DANGEROUS STAGE**

Stage 9: Panic 🔥

- Everything liquidated
- Account blown
- "Crypto is a scam"

Stage 10: Capitulation 🍌

- Give up trading
- Sell everything at bottom
- Quit completely

OR

Stage 10 (Alternative): Depression & Reflection 🤔

- Take a break
- Review what went wrong
- Learn from mistakes
- Start over with discipline

Stage 11: Hope 🌱

- Small wins again
- Following rules
- Rebuilding slowly

Stage 12: Relief 😌

- Consistent small profits
- Risk management working
- Emotional control improving

Back to Stage 1: Optimism 😊

- But wiser this time
- Respectful of risk
- Disciplined approach

The Mistakes to Avoid

1. FOMO (Fear of Missing Out)

Scenario:

- You're following your plan
- Wait for RSI oversold at support
- Price pumps 20% without you
- "I should have bought!"
- Jump in at top (overbought)
- Immediately dumps 15%

- Stopped out
- Then it pumps again after you exit

Solution:

- ☒ Stick to your plan
- ☒ Miss some trades (that's OK)
- ☒ There's ALWAYS another trade
- ☒ Patience is profit

Mantra: "I'd rather miss a trade than lose money"

2. Revenge Trading

Scenario:

- Lost \$500 on a trade (followed plan, just lost)
- "I need to make it back NOW"
- Enter next trade without setup
- Use higher leverage to "recover faster"
- Lose another \$800
- Now down \$1,300
- Enter again (desperate)
- Lose \$1,500
- Account blown

Solution:

- ☒ Accept losses as part of trading
- ☒ Take a break after loss (walk away)
- ☒ Never trade to "recover"
- ☒ Come back tomorrow with clear head
- ☒ Follow daily loss limit

Mantra: "One loss doesn't mean the system is broken"

3. Moving Stops

Scenario:

- Entry: \$28,600
- Stop: \$27,800
- Price drops to \$27,850 (close to stop)

- "It's going to bounce, let me give it more room"
- Move stop to \$27,000
- Price drops to \$27,100
- "Just a bit more room..."
- Move stop to \$26,000
- Price drops to \$24,000
- Finally exit with massive loss
- (If you had kept original stop, loss would be 3%, instead lost 16%)

Solution:

- ☒ Set stop before entry
- ☒ NEVER move stop further away
- ☒ Only move stop to breakeven (after TP1)
- ☒ Or trail stop up (never down)
- ☒ Accept the loss if stop hits

Mantra: "My stop loss is there to protect me"

4. Overleveraging

Scenario:

- Been winning with 5x leverage
- "If I use 20x, I can make 4x more!"
- Enter with 20x
- Market moves 3% against you
- Liquidated (60% loss)
- One trade wipes out weeks of gains

Solution:

- ☒ Start with low leverage (2-3x)
- ☒ Graduate slowly (3x → 5x → 10x max)
- ☒ Never use 20x+ (gambling)
- ☒ Remember: Leverage magnifies BOTH wins AND losses

Mantra: "Return OF capital > Return ON capital"

5. Ignoring Risk Management

Scenario:

- Portfolio: \$10,000
- See "perfect setup"
- Go all-in (\$10,000 position with 10x leverage = \$100k exposure)
- Market dumps 8%
- Lose \$8,000 (80% of portfolio)
- Can't recover (need 400% gain to get back to \$10k)

Solution:

- ☒ Never risk more than 2% per trade
- ☒ Never risk more than 10% portfolio in active trades
- ☒ Keep 60% in long-term holds (untouchable)
- ☒ Size positions properly

Mantra: "Protect capital first, grow second"

6. Analysis Paralysis

Scenario:

- Spend 5 hours analyzing
- Find perfect entry
- By the time you decide, price moved
- Miss the entry
- Now wait for next setup
- Same thing happens
- Never actually trade

Solution:

- ☒ Have clear entry checklist
- ☒ If 3/5 criteria met → Enter
- ☒ Don't overthink
- ☒ Done is better than perfect
- ☒ Take the trade (with proper risk management)

Mantra: "Good enough is good enough"

7. Not Taking Profits

Scenario:

- Entry: \$28,000

- Target: \$32,000 (+14%)
- Price hits \$31,800 (close to target)
- "Let me wait for \$32,000"
- Price drops to \$30,000
- "It'll go back up"
- Price drops to \$29,000
- "I should have sold at \$31,800"
- Finally exit at \$29,500 (+5% instead of +14%)

Solution:

-  Set limit orders at targets
-  Take profits at planned levels
-  Don't get greedy
-  Use 3-target system (scale out)
-  Lock in some gains

Mantra: "You never go broke taking profits"

8. Trading While Drunk/Tired/Emotional

Scenario:

- Had a bad day at work
- Stressed about money
- Had a few drinks
- Open charts
- See price movement
- Make impulsive trade
- Wake up next day
- Liquidated

Solution:

-  Only trade when well-rested
-  Only trade when clear-headed
-  Only trade when calm
-  If upset → Close charts
-  Trading is not therapy

Mantra: "The market will be there tomorrow"

The Discipline Framework

Rule #1: Trade Your Plan

Before Trading Session:

1. Open journal
2. Review yesterday's performance
3. Identify setups for today
4. Mark key levels
5. Set alerts
6. Close chart (don't watch)

During Trade:

1. Setup appears → Check checklist
2. If criteria met → Enter (3-entry rule)
3. Set stop immediately
4. Set targets
5. Close chart (don't watch)
6. Wait for alerts

After Trade:

1. Log in journal
 2. Review entry (was it according to plan?)
 3. Review exit (was it according to plan?)
 4. Identify lessons
 5. Move on (next trade)
-

Rule #2: Daily Limits

Set Before Trading:

- **Daily Profit Target:** e.g., \$100
- **Daily Loss Limit:** e.g., -\$100

When Hit:

- **Profit Target Hit:** STOP trading, close platform, enjoy day
- **Loss Limit Hit:** STOP trading, close platform, review mistakes tomorrow

Why:

- Protects gains (don't give back)

- Limits damage (bad days happen)
 - Maintains mental health
-

Rule #3: The 24-Hour Rule

After Big Win:

- Don't trade for 24 hours
- Euphoria clouds judgment
- Overconfidence leads to mistakes
- Take a break, celebrate

After Big Loss:

- Don't trade for 24 hours
- Desperation clouds judgment
- Revenge trading destroys accounts
- Take a break, review

After Emotional Event:

- Don't trade for 24 hours
 - Fight with partner
 - Bad news
 - Stressful day
 - Your emotions will affect trading
-

Rule #4: The Weekly Review

Every Sunday:

1. Review all trades from the week
2. Calculate:
 - Total P&L
 - Win rate (% of trades won)
 - Average win vs average loss
 - Risk/reward ratio achieved
3. Identify:
 - Best trades (what made them good?)
 - Worst trades (what went wrong?)
 - Patterns (emotional triggers, etc.)
4. Adjust:
 - What to do more of

- What to do less of
 - Any strategy tweaks
-

Rule #5: The Accountability Partner

Find Someone:

- Fellow trader
- Friend interested in trading
- Online community (Discord)

Share With Them:

- Your trading plan
- Your daily targets
- Your results
- Your struggles

Why:

- Accountability prevents impulsive trades
 - Having to explain trades makes you think twice
 - Shared journey (less lonely)
-

The Winner's Mindset

Traits of Successful Traders:

1. **Patience**
 - Wait for setup
 - Don't force trades
 - Miss trades without regret
2. **Discipline**
 - Follow plan every time
 - Don't deviate
 - Rules before feelings
3. **Humility**
 - Accept losses
 - Learn from mistakes
 - Never "know" what market will do
4. **Emotional Control**
 - Don't trade on emotion

- Remain calm in loss
 - Remain calm in win
 - 5. **Long-Term Thinking**
 - One trade doesn't matter
 - Care about monthly/yearly results
 - Compound over time
 - 6. **Risk Management**
 - Protect capital always
 - Small losses OK
 - Survive to trade another day
 - 7. **Continuous Learning**
 - Always improving
 - Study mistakes
 - Adapt to market
 - 8. **Self-Awareness**
 - Know your triggers
 - Know your weaknesses
 - Know when to step back
-

Meditation & Mindfulness

Before Trading:

- 5-minute breathing exercise
- Clear your mind
- Set intention ("I will follow my plan today")

After Trading:

- 5-minute reflection
- What went well?
- What to improve?
- Let go of the day

Benefits:

- Reduces emotional trading
 - Improves focus
 - Better decision making
 - Lower stress
-

When to Take a Break

Signs You Need a Break:

- ☒ 3 losses in a row
- ☒ Feeling frustrated/angry
- ☒ Not following plan
- ☒ Checking charts every 5 minutes
- ☒ Can't sleep thinking about trades
- ☒ Relationship suffering
- ☒ Blaming others

Take a Break:

- 1 day (after bad day)
- 1 week (after bad week)
- 1 month (after account damage)

During Break:

- Don't look at charts
 - Review past trades
 - Study strategy
 - Refresh mentally
 - Come back stronger
-

The Trading Affirmations

Say Daily:

1. "I am a disciplined trader who follows my plan"
 2. "I accept losses as part of the game"
 3. "I protect my capital above all else"
 4. "I am patient and wait for my setup"
 5. "I take profits at my targets without greed"
 6. "I learn from every trade, win or lose"
 7. "The market owes me nothing"
 8. "I trade with clear mind and calm emotions"
 9. "I am in this for the long term"
 10. "I am grateful for the opportunity to trade"
-

20. QUICK REFERENCE GUIDE

Core Indicators (Top 5)

1. **RSI**
 - Oversold: <30 (long)
 - Overbought: >70 (short)
 - Best entries: <20 (long), >88 (short)
 2. **QQE Mod**
 - Green bars: Buy pressure
 - Red bars: Sell pressure
 3. **Bollinger Bands**
 - Bottom + RSI oversold = Long
 - Top + RSI overbought = Short
 - Avoid when squeezed
 4. **ATR (Stop Loss)**
 - Long stop: Support - ATR
 - Short stop: Resistance + ATR
 5. **Bull Market Support Band**
 - Bitcoin only, Weekly chart
 - Above = Bull market
 - Below = Bear market
-

Primary Timeframes

HTF (Analysis):

- Weekly, Daily, 12h
- Identify trend and levels

LTF (Execution):

- 4h, 1h (swing trades)
- 15m, 1m (scalps)

Rule: Always check HTF before trading LTF

Entry Rules - LONG

Minimum 3/5:

1. ☒ RSI oversold (15-30) on HTF
2. ☒ Price at support/demand zone
3. ☒ QQE Mod green bars

4. ☒ Bollinger bottom (scalping)
5. ☒ Bullish structure or reversing

3-Entry Scaling:

- 20% at first signal (RSI 30)
 - 20% at confirmation (RSI 24)
 - 60% at strongest (RSI 16-18)
-

Entry Rules - SHORT

Minimum 3/5:

1. ☒ RSI overbought (70-95) on HTF
2. ☒ Price at resistance/supply zone
3. ☒ QQE Mod red bars
4. ☒ Bollinger top (scalping)
5. ☒ Bearish structure or reversing

3-Entry Scaling:

- 20% at first signal (RSI 70)
 - 20% at confirmation (RSI 80)
 - 60% at strongest (RSI 92-95)
-

Stop Loss (ATR Method)

Long:

Stop = Support Level - ATR Value

Short:

Stop = Resistance Level + ATR Value

Always set before entry

Take Profit Levels

Scalping (1m):

- 5-15% target

- Exit ALL immediately

Swing (12h, Daily):

- TP1: 33% at first resistance
- TP2: 33% at second resistance
- TP3: 34% at third resistance

Long-Term (Spot):

- When 2x: Take out initial investment
 - Let rest ride as "free position"
-

Leverage Guide

Experience	Max Leverage	Use For
Beginner	2-3x	Swing trades
Intermediate	3-5x	Day trades
Advanced	5-10x	Scalps
Expert	10-20x	Ultra scalps

Liquidation:

- 2x = 50% move
 - 5x = 20% move
 - 10x = 10% move
-

Position Sizing

Portfolio Split:

- 60% Long-term (1x spot)
- 20% Mid-term (2-3x)
- 20% Short-term (5-10x)

Per Trade Risk:

- Max 1-2% of portfolio

After Win:

- Take half profit → Long-term
 - Re-enter with half profit only
-

Altcoin Tiers

S Tier (Best):

- FET, TRON, RENDER, Zcash

A Tier (Strong):

- FLOKI, XRP, SOL, ETH, BNB, Monero

B Tier (Viable):

- MKR, XLM, BCH, QNT, HBAR

New Cycle Bets:

- AI: TAO, FET, RENDER
- Memes: PEPE, WIF, BONK
- L1: SUI

F Tier (Avoid):

- VET, ICP, AVAX (near F), INJ, NEAR
 - And 50+ others making new lows
-

Market Cycle Timing

Current: Bear/Accumulation (2023-2024)

- Action: Buy, DCA, accumulate

Next Halving: April 2024

- Action: Hold, watch BMSB

Bull Market: Q4 2024 - Q2 2025 (expected)

- Action: Scale out profits

Expected Returns:

- BTC: 3-5x (\$90k-150k)
 - S Tier Alts: 5-10x
 - A Tier Alts: 3-5x
-

One-Minute Scalping Setup

Checklist:

1. ☒ Check trend (15m, 1h)
2. ☒ RSI oversold/overbought (1m)
3. ☒ QQE green/red bars (1m)
4. ☒ Bollinger Band extreme (1m)
5. ☒ Bands NOT squeezed

Entry:

- 3-entry rule (20%, 20%, 60%)
- 5-10x leverage

Exit:

- 5-15% profit target
- Exit ALL immediately

Risk:

- Max 1% per scalp
 - Daily target: \$100
 - Daily limit: -\$100
-

Level-to-Level Setup

Timeframes:

- 12h: Mark Fibonacci levels
- 4h: Mark support/resistance
- 1h: Micro levels

Entry:

- Wait for confluence zone

- 3-entry scaling
- 2-3x leverage

Targets:

- TP1, TP2, TP3 at marked resistance
- Hold days to weeks

Stop:

- ATR method below confluence
-

Chart Patterns**Bullish:**

- Double Bottom (W)
- Falling Wedge
- Rounded Bottom

Bearish:

- Double Top (M)
- Rising Wedge
- Rounded Top

Always wait for retest after breakout

Sentiment Guide**Fear & Greed Index:**

- 0-25: BUY (extreme fear)
- 25-45: DCA (fear)
- 45-55: Wait (neutral)
- 55-75: Take profits (greed)
- 75-100: SELL (extreme greed)

Open Interest:

- Negative: Bullish (short squeeze coming)
- Positive >5%: Bearish (correction coming)

Daily Routine

Before Trading:

1. Check BTC trend (HTF)
2. Mark key levels
3. Set alerts
4. Review plan

During Trading:

1. Wait for setup
2. Check checklist
3. Enter if 3/5 met
4. Set stop & targets
5. Walk away

After Trading:

1. Log in journal
2. Review results
3. Identify lessons
4. Plan tomorrow

Common Mistakes

✗ FOMO into trades ✗ Revenge trading ✗ Moving stops ✗ Overleveraging ✗ No risk management ✗ Not taking profits ✗ Trading emotional

✓ Follow plan ✓ Accept losses ✓ Use stops ✓ Right leverage ✓ Risk 1-2% max ✓ Take profits at targets ✓ Trade calm

The Golden Rules

1. **DDE** - Data Determines Everything
2. **Trend is your friend** until it ends
3. **Only risk what you can lose**
4. **Position size > entry price**
5. **Take profits at targets** (no greed)
6. **Use stops always** (no exceptions)
7. **Trade plan, not emotions**

8. **Journal everything**
 9. **Review weekly**
 10. **Patience = Profit**
-

Emergency Checklist

If Account Down >20%:

1.  STOP trading immediately
2.  Close all positions
3.  Take 1-week break
4.  Review all trades
5.  Identify mistakes
6.  Revise plan
7.  Paper trade 2 weeks
8.  Return with discipline

If Feeling Emotional:

1.  Close charts
2.  Take a walk
3.  Meditate 10 minutes
4.  Come back tomorrow

If Unsure:

1.  Don't trade
 2.  Review this guide
 3.  Check HTF
 4.  Wait for clear setup
-

CONCLUSION

You Now Have:

-  Complete strategy framework
-  Entry & exit systems
-  Risk management rules
-  Altcoin selection criteria
-  Psychology & discipline guide
-  All tools & resources

Next Steps:

1. **Read this guide 2-3 times** (absorb it)
2. **Practice on paper** (no real money yet)
3. **Start small** (min position sizes)
4. **Journal everything** (learn from mistakes)
5. **Be patient** (mastery takes time)
6. **Join community** (accountability)

Remember:

"The goal is not to be perfect. The goal is to survive, learn, and compound over time."

You can't control:

-  Market direction
-  Individual trade outcomes
-  Black swan events

You CAN control:

-  Risk per trade
-  Position sizing
-  Following your plan
-  Emotional discipline
-  Continuous learning

The path:

1. Learn (you're doing this)
2. Practice (next step)
3. Small wins (build confidence)
4. Consistency (repeat process)
5. Compound (grow over time)
6. Financial freedom (long-term goal)

"I will teach you how to fish, so you can eat for life" - Mirage

Welcome to your trading journey. Let's go! 

Document Version: 1.0 Last Updated: May 2026 Created by: Mirage Trading Strategy For: SaaS Platform Implementation

END OF DOCUMENT